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22CB601 FINANCIAL MANAGEMENT

Department: COMPUTER SCIENCE & BUSINESS SYSTEMS

Batch/Year: 2023-27 / III

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Date: 15/12/2025

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1. Course Objectives

- To understand the fundamental concepts of financial management
- To analyse basic concepts such as time value of money, cost of capital, risk and return, working capital management, capital budgeting etc.
- To Leverage the concept for deciding financial angle of IT projects

2. Pre requisite

- Basic Knowledge on Cash Flow, Stocks, Capital Shares, Bonds, Debt, Credits, Equity, Liability etc
- Fundamental terms such as Budget, Cash, Inflation, Fiscal etc

3. SYLLABUS

22CB601 FINANCIAL MANAGEMENT

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UNIT I INTRODUCTION 9

Introduction: Introduction to Financial Management - Goals of the firm - Financial Environments. Time Value of Money: Simple and Compound Interest Rates, Amortization, Computing more that once a year, Annuity Factor.

UNIT II VALUATION OF SECURITIES 9

Valuation of Securities: Bond Valuation, Preferred Stock Valuation, Common Stock Valuation, Concept of Yield and YTM. Risk & Return: Defining Risk and Return, Using Probability Distributions to Measure Risk, Attitudes Toward Risk, Risk and Return in a Portfolio Context, Diversification, The Capital Asset Pricing Model (CAPM)

UNIT III OPERATING & FINANCIAL LEVERAGE 9

Operating & Financial Leverage: Operating Leverage, Financial Leverage, Total Leverage, Indifference Analysis in leverage study. Cost of Capital: Concept, Computation of Specific Cost of Capital for Equity - Preference – Debt, Weighted Average Cost of Capital – Factors affecting Cost of Capital 4L

UNIT IV CAPITAL BUDGETING 9

Capital Budgeting: The Capital Budgeting Concept & Process - An Overview, Generating Investment Project Proposals, Estimating Project, After Tax Incremental Operating Cash Flows, Capital Budgeting Techniques, Project Evaluation and Selection - Alternative Methods. Working Capital Management: Overview, Working Capital Issues, Financing Current Assets (Short Term and Long Term- Mix), Combining Liability Structures and Current Asset Decisions, Estimation of Working Capital.

UNIT V CASH MANAGEMENT 9

Cash Management: Motives for Holding cash, Speeding Up Cash Receipts, Slowing Down Cash Payouts, Electronic Commerce, Outsourcing, Cash Balances to maintain, Factoring. Accounts Receivable Management: Credit & Collection Policies, Analyzing the Credit Applicant, Credit References, Selecting optimum Credit period.

TOTAL: 45 PERIODS

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4. COURSE OUTCOMES

On successful completion of the course, students will be able to:

- Understand the fundamental concepts of financial management
- Analyze basic concepts such as time value of money, cost of capital, risk and return, working capital management, capital budgeting etc.
- Understand the Operating & Financial Leverage, Cost of capital
- Understand the concept and process of Capital Budgeting
- Leverage the concept of Cash management for deciding financial angle of IT projects
- To familiarize oneself with the techniques used in financial management.

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5. CO-PO/PSO MAPPING

CO	CO DESCRIPTION	Knowledge level
CO1	Understand the fundamental concepts of financial management	K2
CO2	Analyze basic concepts such as time value of money, cost of capital, risk and return, working capital management, capital budgeting etc.	K4
CO3	Understand the Operating & Financial Leverage, Cost of capital	K2
CO4	Understand the concept and process of Capital Budgeting	K2
CO5	Leverage the concept of Cash management for deciding financial angle of IT projects	K3
CO6	To familiarize oneself with the techniques used in financial management.	K1

CO-PO-PSO Mapping

CO	K	PO 1	PO 2	PO 3	PO 4	PO 5	PO 6	PO 7	PO8	PO 9	PO 10	PO 11	PO 12	PSO1	PSO 2	PSO 3	PSO 4
CO 1	K2	3	2	-	-	-	2	-	2	-	-	-	-	3	-	1	2
CO 2	K4	2	-	-	-	-	2	-	2	-	-	-	-	2	-	-	-
CO 3	K2	3	-	3	-	-	-	3	-	-	-	-	-	**2**	**2**	-	-
CO 4	K2	2	-	3	-	-	-	2	-	-	-	-	-	**3**	**2**	-	-
CO 5	K3	3	-	3	-	-	-	3	-	-	-	-	-	**2**	**2**	-	-
CO 6	K1	3	-	3	-	-	-	3	-	-	-	-	-	**3**	**2**	-	-

6. LECTURE PLAN

S.No	Topic	No. of Periods	Mode of Delivery	Date
1	Introduction to Finance	1	PPT	
2	Scope , Nature and Introduction to Financial Management	1	PPT	
3	Goals of the firm	1	PPT	
4	Financial Environments.	1	PPT	
5	Finance Functions, Roles of a Financial Manager	1	PPT	
6	Time Value of Money	1	PPT	
7	Simple and Compound Interest Rates	1	PPT	
8	Amortization, Compounding more than once a year	1	PPT	
9	Annuity Factor	1	PPT	

DEBATE

TOPIC:

- Make the students to explore their views and knowledge about Finance & Financial Management in Indian context
- Make them to understand the Time value of Money
- Make each and every one in the group to speak, share their views in an organized way.

BENEFITS:

- This debate ensures the knowledge and understanding level about the basics ideology of economics
- It also motivates each and everyone to participate in the group activity without any fear

8. LECTURE NOTES

Introduction

Financial Management is an appendage of the Finance function. With the creation of a complex industrial structure, finance function has grown so much that it has given birth to a separate subject financial management, is today recognized as the most important branch of business administration. One cannot think of any business activity in isolation from its financial implications. The management may accept or reject a business proposition on the basis of its financial viabilities. In other words, financial considerations reign supreme, particularly for line executives who are directly involved in the decision-making process. In this connection, it is observed that "Financial Management involves the application of general management principles to a particular financial operation".

Finance

- Finance is the life blood of business. The time and extent of the availability of finance in any organization indicates the health of a concern. Finance is said to be the circulatory system of the economy body, making possible the required cooperation between the innumerable units of activity.

- Definition of Finance According to F.W.Paish, Finance may be defined as the position of money at the time it is wanted.

- In the words of John J. Hampton, the term finance can be defined as the management of the flows of money through an organization, whether it will be a corporation, school, bank or government agency.

- According to Howard and Upton, "finance may be defined as that administrative area or set of administrative functions in an organization which relates with the arrangement of each and credit so that the organization may have the means to carry out the objectives as satisfactorily as possible.

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- In the words of Bonneville and Dewey, Financing consists in the raising, providing, managing of all the money, capital or funds of any kind to be used in connection with the business.
- As put forth by Hurband and Dockery in his book 'Modern Corporation Finance', finance is defined as "an organism composed of a myriad of separate enterprise, each working for its own ends but simultaneously making a contribution to the system as a whole, some force is necessary to bring about direction and co-ordination. Something must direct the flow of economic activity and facilitate its smooth operation. Finance is the agent that produces this result"
- An analysis of the aforesaid definition makes it clear that finance directs the flow of economic activity and facilitates the smooth operation. Finance provides the required stimulus for continued business operations of all categories. Finance is essential for expansion, diversification, modernization, establishment, of new projects and so on. The financial policy of any organization to a greater extent, determines not only its existence, and survival but also the performance and success of that organization. Finance is required for investment, purposes as well as to meet substantial capital expenditure projects.

Functions of Finance

- According to Paul G. Hasings, "finance" is the management of the monetary affairs of a company. It includes determining what has to be paid for and when, raising the money on the best terms available, and devoting the available funds to the best uses. Kenneth Midgley and Ronald Burns state: "Financing is the process of organising the flow of funds so that a business can carry out its objectives in the most efficient manner and meet its obligations as they fall due."

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- Finance squeezes the most out of every available rupee. To get the best out of the available funds is the major task of finance, and the finance manager performs this task most effectively if he is to be successful. In the words of Mr.A.L.Kingshott, "Finance is the common denominator for a vast range of corporate objectives, and the major part of any corporate plan must be expressed in financial terms."
- The description of finance may be applied to money management provided that the following three objectives are properly noted:
- Many activities associated with finance such as saving, payment of things, giving or getting credit; do not necessarily require the use of money.
- In the first place, the conduct of international trade has been facilitated. The development of the pecuniary unit in the various commercial nations has given rise to an international denominator of values. The pecuniary unit makes possible a fairly accurate directing of capital to those parts of the world where it will be most productive.
- Within any given country, the flow of capital from one region to another is guided in a similar manner.
- The term 'finance' refers to the financial system in a rudimentary or traditional economy, that is, an economy in which the per capita output is low and declining over a period of time. The financial organisation in rudimentary finance is characterized by the absence of any financial instruments of the saving deficit units of their own which they can issue and attract savings. There will not be any inducement for higher savings by offering different kinds of financial assets to suit the varied interests and preferences of the investing public. The other characteristic of such a financial system is that there are no markets where firms can compete for private savings.

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Types of Finance

Business Finance

- The term 'business finance' is very comprehensive. It implies finances of business activities. The term, 'business' can be categorized into three groups: commerce, industry and service. It is a process of raising, providing and managing of all the money to be used in connection with business activities.
- It encompasses finance of sole proprietary organizations, partnership firms and corporate organizations. No doubt, the aforesaid organizations have different characteristics, features, distinct regulations and rules. And financial problems faced by them vary depending upon the nature of business and scale of operations. However, it should be remembered that the same principles of finance are applicable to large and small organizations, proprietary and non-proprietary organizations.
- According to Guthmann & Dougall, business finance can be broadly defined as the activity concerned with planning, raising, controlling and administering of funds used in the business.
- Business finance deals with a broad spectrum of the financial activities of a business firm. It refers to the raising and procurement of funds and their appropriate utilisation. It includes within its scope commercial finance, industrial finance, proprietary finance corporation finance and even agricultural finance.
- The subject of business finance is much wider than that of corporation finance. However, since corporation finance forms the lion's share in the business activity, it is considered almost inter-changeable with business finance. Business finance, apart from the financial environment and strategies of financial planning, covers detailed problems of company promotion, growth and pattern. These problems of the corporate sector go a long way in widening the horizon of business finance.

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- The finance manager has to assume the new responsibility of managing the total funds committed to total assets and allocating funds to individual assets in consonance with the overall objectives of the business enterprise.

Direct Finance

The term 'direct', as applied to the financial organisation, signifies that savings are affected directly from the saving-surplus units without the intervention of financial institutions such as investment companies, insurance companies, unit trusts, and so on.

Indirect Finance

- The term 'indirect finance' refers to the flow of savings from the savers to the entrepreneurs through intermediary financial institutions such as investment companies, unit trusts and insurance companies, and so on.
- Finance administers economic activities. The scope of finance is vast and determined by the financial needs of the business enterprise, which have to be identified before any corporate plan is formulated. This eventually means that financial data must be obtained and scrutinised. The main purpose behind such scrutiny is to determine how to maintain financial stability.

Public Finance

It is the study of principles and practices pertaining to acquisition of funds for meeting the requirements of government bodies and administration of these funds by the government.

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Private Finance

It is concerned with procuring money for private organization and management of the money by individuals, voluntary associations and corporations. It seeks to analyse the principles and practices of managing one's own daily affairs. The finance of non-profit organization deals with the practices, procedures and problems involved in the financial management of educational chartable and religions and the like organizations.

Corporation Finance

- Corporation finance deals with the financial problems of a corporate enterprise. These problems include the financial aspects of the promotion of new enterprises and their administration during their early period ; the accounting problems connected with the distinction between capital and income, the administrative problems arising out of growth and expansion, and, finally, the financial' adjustments which are necessary to bolster up to rehabilitate a corporation which has run into financial difficulties.

- The term 'corporation finance' includes, apart from the financial environment, the different strategies of financial planning. It includes problems of public deposits, inter-company loans and investments, organised markets such as the stock exchange, the capital market, the money market and the bill market. Corporation finance also covers capital formation and foreign capital and collaborations.

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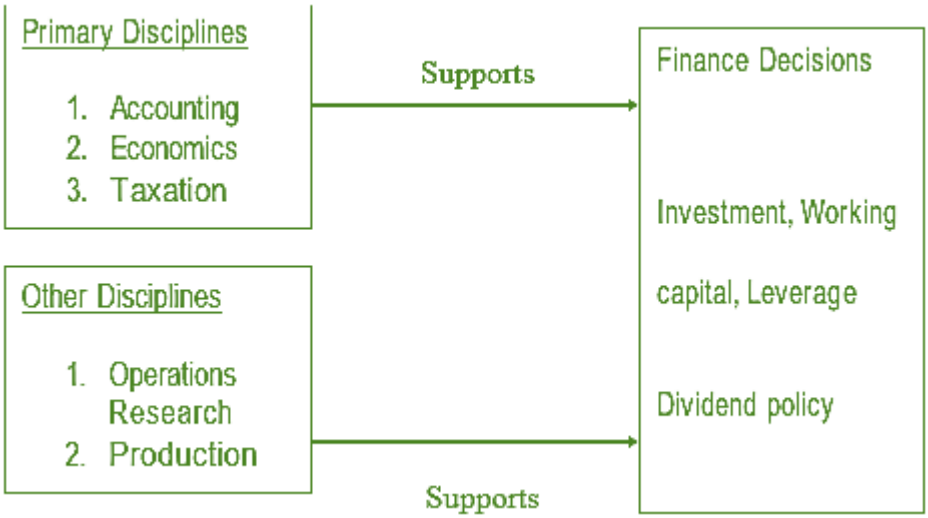
Finance in Relation to Other Allied Disciplines

The finance function cannot work effectively unless it draws on the-disciplines which are closely associated with it. Management is heavily dependent on accounting for operating facts. Accounting' has been described by Richard M. Lynch and Robert W. Williamson as "the - measurement and communication of financial and economical data. In fact, accounting information relates to the production, sales, expenses, investments, losses and gains of the business. Accounting has three branches namely, financial accounting, cost accounting and management accounting.



Financial Accounting

- It is concerned with the preparation of reports which provide information to users outside the firm. The most common reports are the financial statements included in the annual reports of stock-holders and potential investors. The main objective of these-reports is to inform stockholders, creditors and other investors how assets are controlled by a firm. In the light of the financial statements and certain other information, the accountant prepares funds film statement, cash flow statement and budgets.

- A master plan (Budget) of the organization includes and coordinates the plans of every department in financial terms. According to Guthmann and Dougall, "Problems of finance are intimately connected while problems of purchasing, production and marketing".

Cost Accounting

It deals primarily with cost data. It is the process of classifying, recording, allocating and reporting the various costs incurred in the operation of an enterprise. It includes a detailed system of control for material, labour and overheads. Budgetary control and standard casting are integral part of cost accounting. The purpose of cost accounting is to provide information to the management for decision making, planning and control. It facilitates cost reduction and cost control. It involves reporting of cost data to the management.

Management Accounting

It refers to accounting for the management. It provides necessary information to assist the management in the creation of policy and in the day to day operations. It enables the management to discharge all its functions, namely, planning, organizing, staffing, direction and control efficiently with the help of accounting information. Functions of management accounting include all activities connected with collecting, processing, interpreting and presenting information to the management. According to J. Batty, 'management accounting' is the term used to describe the accounting methods, systems and technique which coupled with special knowledge and ability, assist management in its task of maximizing profits or minimizing losses. Management accounting is related to the establishment of cost centres, preparation of budgets, and preparation of cost control accounts and fixing of responsibility for different functions.

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Role and Functions of the Financial Manager

- The financial manager performs important activities in connection with each of the general functions of the management. He groups activities in such a way that areas of responsibility and accountability are cleared defined. The profit centre is a technique by which activities are decentralised for the development of strategic control points. The determination of the nature and extent of staffing is aided by financial budget programme. Direction is based, to a considerable extent, on instruments of financial reporting. Planning involves heavy reliance on financial tools and analysis. Control requires the use of the techniques of financial ratios and standards. Briefly, an informed and enlightened use of financial information is necessary for the purpose of co-ordinating the activities of an enterprise. Every business, irrespective of its size, should, therefore, have a financial manager who has to take key decisions on the allocation and use of money by various departments. Specifically the financial manager should anticipate financial needs; acquire financial resources; and allocate funds to various departments of the business. If the financial manager handles each of these tasks well, his firm is on the road to good financial health. The financial manager's concern is to:
  - ✓ Determine the total amount of funds to be employed by a firm;
  - ✓ Allocate these funds efficiently to various assets;
  - ✓ Obtain the best mix of financing in relation to the overall evaluation of the firm.
- Since the financial manager is an integral part of the top management, he should so shape his decisions and recommendations as to contribute to the overall progress of the business, on which depends the value of the firing. That is his primary objective is to maximise the value of the firm to its stockholders.

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- Although, decisions are the end product of the financial manager's task, his day-to-day work consists of more than just decision-making. A great deal of his time is spent on financial planning, which may be described as the co-ordination of a series of inter-dependent decisions over an extended period. Of the many environments in which the firm operates, the one closest to the financial manager is the financial market, which ultimately determines whether a firm's policies are a success or a failure. In a fundamental sense, financial management is nothing more or less than a continuing two-way interaction between a firm and its financial environment.

- It has been explained earlier that financial management is related to the environment, which is external to a firm. This environment is the macro-economic environment, which includes the study of the financial market. The logic here is very simple. A firm is a part of the entire business activity, which is reflected in the financial market. The financial market is sensitive to the reactions of firms to the supply of, and demand for, its securities. No firm can, therefore, exempt itself from undertaking a study of the financial market. It is in this sense that financial management makes a kind of an integrated approach to the external environment.

- The financial manager should:
  - ✓ Supervise the overall working of an organization instead of confining himself to technical matters as a top management executive
  - ✓ Make sure that funds have been acquired in sufficient, but not excessive amounts
  - ✓ Ensure that disbursements do not create shortage of funds
  - ✓ Analyse, plan and control the use of funds
  - ✓ Maintain liquidity while retaining the acceptable level of profits

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- ✓ Economise on the acquisition of funds and hold down their cost
- ✓ Make allowances for uncertainties that exist in the business world
- ✓ Administer effectively cash, receivables, inventory and other components of working capital
- ✓ Analyse financial aspects of external growth
- ✓ Develop the means to rejuvenate and revitalise the enterprise or to assist in liquidity and distribution of its assets to the various claimants.

❖ A financial manager is often up against a dilemma. He has to choose between profitability and liquidity. Although both are desirable, sometimes one has to be sacrificed for the other. Since cash earns no return, a firm increases its liquidity at the cost of its profitability. The financial manager does something more than co-ordinate business activities in a mechanical way. His central role requires that he understands the nature of problems so that he may take proper decisions. In several situations, he faces a challenge: should he choose profitability or liquidity? Despite the knowledge that a particular investment is quite profitable, he is forced to sacrifice this option, if the investment is going to lock up funds for an unreasonable period; the longer the period, the greater is the risk. Most financial managers are, therefore, tempted to compromise between profitability and liquidity, and select projects which are reasonably profitable and, at the same time, sound from the liquidity point of view.

What Is Financial Management?

Financial management is concerned with the acquisition, financing, and management of assets with some overall goal in mind. Thus the decision function of financial management can be broken down into three major areas: the investment, financing, and asset management decisions.

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Financial decision

Introduction

- Finance comprises of blend of knowledge of credit, securities, financial related legislations, financial instruments, financial markets and financial system. As finance is a scarce resource, it must be systematically raised form the cheapest source of funds and must be judiciously utilized for the development and growth of the organization. Charles Gertenberg visualizes the significance of scientific arrangement of records with the help of which the inflow and outflow of funds can be efficiently managed, stocks and bonds can be efficiently marketed and the efficacy of the organization can be greatly improved.

- The financial manager in his new role, is concerned with the efficient allocation of funds. The firm's investment and financing decisions are continuous. The financial manager according to Ezra Solomon must find a rationale for answering the following three questions.
  - ✓ How large should an enterprise be and how fast should it grow?
  - ✓ In what form should it hold its assets?
  - ✓ How should the funds required be raised?

- It is therefore clear from the above discussion that firms take different financial decisions continuously in the normal course of business. Liquidity, solvency, profitability and flexibility optimization goals and risk, would lead to reaping of wealth maximization goal.

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Financial Decisions – Types

❖ Financial decisions refer to decisions concerning financial matters of a business firm. There are many kinds of financial management decisions that the firm makers in pursuit of maximising shareholder's wealth, viz., kind of assets to be acquired, pattern of capitalisation, distribution of firm's income etc. We can classify these decisions into three major groups:

1. Investment decisions
2. Financing decision.
3. Dividend decisions.
4. Liquidity decisions.

Investment Decision/ Capital Budgeting Decisions

❖ The investment decision is the most important of the firm's three major decisions when it comes to value creation. It begins with a determination of the total amount of assets needed to be held by the firm. Picture the firm's balance sheet in your mind for a moment. the composition of these assets and the business risk complexities of the firm as perceived by the investors. It is the most important financial decision. Since funds involve cost and are available in a limited quantity, its proper utilization is very necessary to achieve the goal of wealth maximisation.

❖ The investment decisions can be classified under two broad groups; (i) long-term investment decision and (ii) Short-term, investment decision. The long-term investment decision is referred to as the capital budgeting and the short-term investment decision as working capital management.

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- Capital budgeting is the process of making investment decisions in capital expenditure. These are expenditures, the benefits of which are expected to be received over a long period of time exceeding one year. The finance manager has to assess the profitability of various projects before committing the funds. The investment proposals should be evaluated in terms of expected profitability, costs involved and the risks associated with the projects. The investment decision is important not only for the setting up of new units but also for the expansion of present units, replacement of permanent assets, research and development project costs, and reallocation of funds, in case, investments made earlier, do not fetch result as anticipated earlier.

Financing Decisions / Capital Structure Decisions

- Once the firm has taken the investment decision and committed itself to new investment, it must decide the best means of financing these commitments. Since, firms regularly make new investments; the needs for financing and financial decisions are on going, hence, a firm will be continuously planning for new financial needs. The financing decision is not only concerned with how best to finance new asset, but also concerned with the best overall mix of financing for the firm.

- A finance manager has to select such sources of funds which will make optimum capital structure. The important thing to be decided here is the proportion of various sources in the overall capital mix of the firm. The debt-equity ratio should be fixed in such a way that it helps in maximising the profitability of the concern. The raising of more debts will involve fixed interest liability and dependence upon outsiders. It may help in increasing the return on equity but will also enhance the risk. The raising of funds through equity will bring permanent funds to the business but the shareholders will expect higher rates of earnings. The financial manager has to strike a balance between anxious sources so that the overall profitability of the concern improves. If the capital structure is able to minimise the risk and raise the profitability then the market prices of the shares will go up maximising the wealth of shareholders.

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Dividend Decision

The third major financial decision relates to the disbursement of profits back to investors who supplied capital to the firm. The term dividend refers to that part of profits of a company which is distributed by it among its shareholders. It is the reward of shareholders for investments made by them in the share capital of the company. The dividend decision is concerned with the quantum of profits to be distributed among shareholders. A decision has to be taken whether ail the profits are to be distributed, to retain all the profits in business or to keep a part of profits in the business and distribute others among shareholders. The higher rate of dividend may raise the market price of shares and thus, maximise the wealth of shareholders. The firm should also consider the question of dividend stability, stock dividend (bonus shares) and cash dividend.

Liquidity Decisions

Liquidity and profitability are closely related. Obviously, liquidity and profitability goals conflict in most of the decisions. The finance manager always perceives / faces the task of balancing liquidity and profitability. The term liquidity implies the ability of the firm to meet bills and the firm's cash reserves to meet emergencies whereas profitability aims to achieve the goal of higher returns. As said earlier, striking a proper balance between liquidity and profitability is a difficult task. Profitability will be affected when all the bills are to be settled in advance. Similarly, liquidity will be affected if the funds are invested in short term or long term securities. That is the funds are inadequate to pay-off its creditors. Lack of liquidity in extreme situations can lead to the firm's insolvency.

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Relationship of Financial Decisions

The financial manager is concerned with the optimum utilization of funds and their procurement in a manner that the risk, cost and control considerations are properly balanced in a given situation. Irrespective of nature of decisions, i.e. investment decisions, financing or capital structure decisions / dividend decisions all these decisions are interdependent. All these decisions are inter-related. All are intended to maximize the wealth of the shareholders. An efficient financial manager has to ensure optimal decision by evaluating each of the decision involved in relation to its effect on shareholders wealth.

Factors Influencing Financial Decisions

There are innumerable factors that influence the financial decision. They are classified as external factors and internal factors.

External factors

- ✓ Capital structure
- ✓ Capital market and money market
- ✓ State of economy
- ✓ Requirements of investors
- ✓ Government policy
- ✓ Taxation policy
- ✓ Financial institutions / banks lending policy

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Internal factors

- ✓ Nature of business
- ✓ Age of the firm
- ✓ Size of the business
- ✓ Extent and trend of earnings
- ✓ Liquidity position
- ✓ Working capital requirements
- ✓ Composition of assets
- ✓ Nature of risk and expected return

Financial Management – Significance

Financial management has undergone fundamental changes as regards its scope and coverage. Financial management is the application of planning and control to the finance function. It helps in profit planning, measuring costs, controlling inventories, and accounts receivables. It also helps in monitoring the effective deployment of funds in fixed assets and in working capital. It aims at ensuring that adequate cash is on hand to meet the required current and capital expenditure. It facilitates ensuring that significant capital is procured at the minimum cost to maintain adequate cash on hand to meet any exigencies that may arise in the course of business. Financial management helps in ascertaining and managing not only current requirements but also future needs of an organization.

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- ✓ It ensures that funds are available at the right time and procurement of funds does not interfere with the right of management / exercising control over the affairs of the company.
- ✓ It influences the profitability / return on investment of a firm.
- ✓ It influences cost of capital. Efficient fund managers endeavour to locate less cost source so as to enhance profitability of organization.
- ✓ It affects the liquidity position of firms.
- ✓ It enhances market value of the firm through efficient and effective financial management.
- ✓ Financial management is very much required for the survival, growth, expansion and diversification of business.
- ✓ It is required to ensure purposeful resource allocation.

Financial Management – Definition

- ❖ According to Weston and Brigham, financial management is an area of financial decision making, harmonizing individual motives and enterprise goals.
- ❖ In the words of Phillippatus, financial management is concerned with the managerial decisions that result in the acquisition and financing of long-term and short-term credits for the firm. As such it deals with the situations that require selection of specific assets / combination of assets, the selection of specific liability / combination of liabilities as well as the problem of size and growth of an enterprise. The analysis of these decisions is based on the expected inflows and outflows of funds and their effects upon managerial objectives.

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Scope and Functions of Financial Management

- A priori definition of the scope of financial management fall into three groups. One view is that finance is concerned with cash. At the other extreme is the relatively narrow definition that financial management is concerned with raising and administering of funds to an enterprise. The third approach is that it is an integral part of overall management rather than a staff specialty concerned with fundraising operations. In this connection.
- Financial Management plays two significant roles:
  - ✓ To participate in the process of putting funds to work within the business and to control their productivity; and
  - ✓ To identify the need for funds and select sources from which they may be obtained.
- The functions of financial management may be classified on the basis of liquidity, profitability and management.

Liquidity: Liquidity is ascertained on the basis of three important considerations:

- ✓ Forecasting cash flows, that is, matching the inflows against cash outflows;
- ✓ Raising funds, that is, financial management will have to ascertain the sources from which funds may be raised and the time when these funds are needed;
- ✓ Managing the flow of internal funds, that is, keeping its accounts, with a number of banks to ensure a high degree of liquidity with minimum external borrowing.

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Profitability: While ascertaining rofitability, the following factors are taken into account:

- ✓ Cost Control: Expenditure in the different operational areas of an enterprise can be analysed with the help of an appropriate cost accounting system to enable the financial manager to bring costs under control.
- ✓ Pricing: Pricing is of great significance in the company's marketing effort, image and sales level. The formulation of pricing policies should lead to profitability, keeping, of course, the image of the organization intact.
- ✓ Forecasting Future Profits: Expected profits are determined and evaluated. Profit levels have to be forecasted from time to time in order to strengthen the organization.
- ✓ Measuring Cost of Capital: Each source of funds has a different cost of capital which must be measured because cost of capital is linked with profitability of an enterprise.

Management:

The financial manager will have to keep assets intact, for assets are resources which enable a firm to conduct its business. Asset management has assumed an important role in financial management. It is also necessary for the financial manager to ensure that sufficient funds are available for smooth conduct of the business. In this connection, it may be pointed out that management of funds has both liquidity and profitability aspects. Financial management is concerned with the many responsibilities which are thrust on it by a business enterprise. Although a business failure may not always be the result of financial failures, financial failures do positively lead to business failures. The responsibility of financial management is enhanced because of this peculiar situation.

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- Financial management may be divided into two broad areas of responsibilities, which are not by any means independent of each other. Each, however, may be regarded as a different kind of responsibility; and each necessiates very different considerations. These two areas are:
  - ✓ The management of long-term funds, which is associated with plans for development and expansion, and which involves land, buildings, machinery, equipment, transport facilities, research project, and so on;
  - ✓ The management of short-term funds, which is associated with the overall cycle of activities of an enterprise. These are the needs which may be described, as working capital needs.
- One of the functions of financial management is co-ordination of different activities of a business house.Abusiness depends upon availability of funds which, in turn, depends upon the extent to which a firm is able to effect cash sales.
- Financial management must offer a solution for decisions in areas of capital structure, investment, dividend distribution, and retention of surplus inter-alia. The investment decision involves current cash outlay in anticipation of benefits to be realised in the future. The uncertain nature of future benefits necessitates evaluation of investment proposals in relation to their expected rate of return and risk. Once the investment proposals are evaluated and combined into a capital expenditure programme or planned capital budget, the next decision involves finalisation of sources for a given capital outlay. In other words, the financing decision involves the determination of the ideal financing mix or capital structure. For deciding the dividend policy, the percentage of earnings paid to shareholders becomes an important consideration. It is obvious that the percentage of dividend policy paid affects the quantum of retained earnings. The dividend policy is thus instrumental for changes in market price of shares in the capital market.

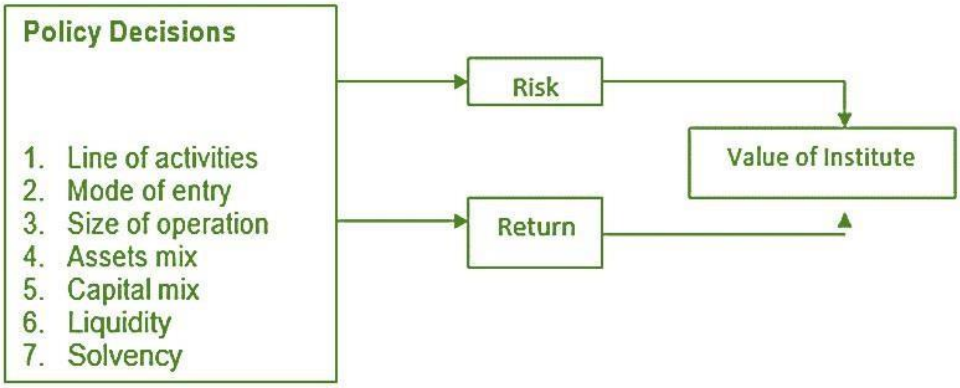
Nature of Financial Management

Financial management is applicable to every type of organization, irrespective of the size, kind or nature. Every organization aims to utilize its resources in a best possible and profitable way.

- Financial Management is an integral part of overall management. Financial considerations are involved in all business decisions. Acquisition, maintenance, removal or replacement of assets, employee compensation, sources and costs of different capital, production, marketing, finance and personnel decision, almost all decisions for that matter have financial implications. Therefore, financial management is pervasive throughout the organisation.

- The central focus of financial management is valuation of the firm. Financial decisions are directed at increasing/ maximization/ optimizing the value of the institution. Weston and Brigham depict the above orientation in the exhibit given below:

Orientation of Financial Management



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- Financial management essentially involves risk-return trade- off. Decisions on investment involve choosing of types of assets which generate returns accompanied by risks. Generally higher the risk returns might be higher and vice versa. So, the financial manager has to decide the level of risk the firm can assume and satisfy with the accompanying return. Similarly, cheaper sources of capital have other disadvantages. So to avail the benefit of the low cost funds, the firm has to put up with certain risks, so, risk-return trade-off is there throughout.

- Financial management affects the survival, growth and vitality of the institution. Finance is said to be the life blood of institutions. The amount, type, sources, conditions and cost of finance squarely influence the functioning of the institution.

- Finance functions, i.e., investment, raising of capital, distribution of profit, are performed in all firms - business or non-business, big or small, proprietary or corporate undertakings. Yes, financial management is a concern of every concern including educational institutions.

- Financial management is a sub-system of the institutional system which has other subsystems like academic activities, research wing, etc, In systems arrangement financial sub- system is to be well-coordinated with others and other sub- systems well matched with the financial sub-system.

- Financial management of an institution is influenced by the external legal and economic environment. The legal constraints on using a particular type of funds or on investing in a particular type of activity, etc., affect financial decisions of the institution. Financial management is, therefore, highly influenced/constrained by external environment.

- Financial management is related to other disciplines like accounting, economics, taxation, operations research, mathematics, statistics etc., It draws heavily from these disciplines.

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- There are some procedural finance functions - like record keeping, credit appraisal and collection, inventory replenishment and issue, etc. It is normally delegated to bottom level management executives.
- The nature of finance function is influenced by the special characteristic of the business. In a predominantly technology oriented institutions like CSIR, CECRI, it is the R & D functions which get more dominance, while in a university or college the different courses offered and research which get more priority and so on.

DIMENSIONS OF FINANCIAL MANAGEMENT

The different dimensions of financial management are dealt below:

Anticipating Financial Needs: The financial manager has to forecast expected events in business and note their financial implications. Financial Manager anticipates financial needs by consulting an array of documents such as the cash budget, the pro-forma income statement, the pro-forma balance sheet, the statement of the sources and uses of funds, etc. Financial needs can be anticipated by forecasting expected funds in a business and their financial implications.

Acquiring Financial Resources: This implies knowing when, where and how to obtain the funds which a business needs. Funds should be acquired well before the need for them is actually felt. The financial manager should know how to tap the different sources of funds. He may require short-term and long-term funds.

The terms and conditions of the different financial sources may vary significantlyat a given point of time. Much will also depend upon the size and strength of the borrowing firm. The financial image of a corporation has to be improved in appropriate financial circles which are primarily responsible for supplying finance.

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Allocating Funds in Business: Allocating funds in a business means investing them in the best plans of assets. Assets are balanced by weighing their profitability against their liquidity. Profitability refers to the earning of profits and liquidity means closeness to money. The financial manager should steer a prudent course between over-financing and under-financing. He should preserve a proper balance among the various assets. He may adopt the famous marginal principle which states that the last rupee invested in each kind of an asset should have the same usefulness as the last rupee invested in any other kind of an asset. He should, moreover, allocate funds according to their profitability, liquidity and leverage. So, while the primary financial responsibility from the owner's viewpoint may be to maximize value, the financial executive's primary managerial responsibility is to preserve the continuity of the flow of funds so that no essential decision of the top management is frustrated for lack of corporate purchasing power.

Administering the Allocation of Funds: Once the funds are allocated to various investment opportunities it is the basic responsibilityof the finance manager to watch the performance of each rupee that has been invested. He has to adopt close supervision and marking of flow of funds. This will ensure continuous flow of funds as per the requirements of the organisation. This helps the management to increase efficiency by reducing the cost of operations & earn fair amount of profits out of investments.

Analysing the performance of finance: Once the funds are administered, it is very comfortable for the finance manager to take decisions. Through the budgeting, he will be able to compare the actuals with standards. The returns on the investments must be continuous and consistent. The cost of each financial decision and returns of each investment must be analysed. Where ever the deviations are found, necessary steps or strategies are to be adopted to overcome such events. This helps in achieving 'Liquidity' of a business unit.

Accounting and Reporting to Management: Now, the role of the finance manager is changing. The department of finance has gained substantial recognition. He not only acts as line executive but also as staff. He has to advise and supply information about the performance of finance to top management. He is also responsible for maintaining upto date records of the peformance of financial decisions. If need arises, he has to offer his suggestion to improve the overall functioning of the organisation. The financial manager will have to keep the assets intact, which enable a firm to conduct its business. Asset management has assumed an important role in Financial Management. It is also necessary for the finance manager to ensure that sufficient funds are available for smooth conduct of the business. In this connection, it may be pointed out that management of funds has both liquidity and profitability aspects. Financial Management is concered with the many responsibilities which are the main thrust of a business enterprise.

Finance Manager – Functions

Finance manager is an integral part of corporate management of an organization. With his profession experience, expertise knowledge and competence, he has to play a key role in optimal utilization of financial resources of the organization. With the growth in the size of the organization, degree of specialization of finance function increases. In large undertakings, the finance manager is a top management executive who participants in various decision making functions. He has to update his knowledge with regard to Foreign Direct Investment (FDI), Foreign portfolio investment, mergers, amalgamations acquisitions, and corporate restructuring, performance management, risk management corporate governance, investor relations, working capital management, derivative trading practices, investor education and investor protection etc.

- **Forecasting of Cash Flow:** This is necessary for the successful day to day operations of the business so that it can discharge its obligations as and when they rise. In fact, it involves matching of cash inflows against outflows and the manager must forecast the sources and timing of inflows from customers and use them to pay the liability.
- **Raising Funds:** the Financial Manager has to plan for mobilising funds from different sources so that the requisite amount of funds are made available to the business enterprise to meet its requirements for short term, medium term and long term.
- **Managing the Flow of Internal Funds:** Here the Manager has to keep a track of the surplus in various bank accounts of the organisation and ensure that they are properly utilised to meet the requirements of the business. This will ensure that liquidity position of the company is maintained intact with the minimum amount of external borrowings.
- **To Facilitate Cost Control:** The Financial Manager is generally the first person to recognise when the costs for the supplies or production processes are exceeding the standard costs/budgeted figures. Consequently, he can make recommendations to the top management for controlling the costs.
- **To Facilitate Pricing of Product, Product Lines and Services:** The Financial Manager can supply important information about cost changes and cost at varying levels of production and the profit margins needed to carry on the business successfully. In fact, financial manager provides tools of analysis of information in pricing decisions and contribute to the formulation of pricing policies jointly with the marketing manager.

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- **Forecasting Profits:** The Financial manager is usually responsible for collecting the relevant data to make forecasts of profit levels in future.
- **Measuring Required Return:** The acceptance or rejection of an investment proposal depends on whether the expected return from the proposed investment is equal to or more than the required return. An investment project is accepted if the expected return is equal or more than the required return. Determination of required rate of return is the responsibility of the financial manager and is a part of the financing decision.
- **Managing Assets:** The function of asset management focuses on the decision-making role of the financial manager. Finance personnel meet with other officers of the firm and participate in making decisions affecting the current and future utilization of the firm's resources. As an example, managers may discuss the total amount of assets needed by the firm to carry out its operations. They will determine the composition or a mix of assets that will help the firm best achieve its goals. They will identify ways to use existing assets more effectively and reduce waste and unwarranted expenses. The decision-making role crosses liquidity and profitability lines. Converting the idle equipment into cash improves liquidity. Reducing costs improves profitability.
- **Managing Funds:** In the management of funds, the financial manager acts as a specialised staff officer to the Chief Executive of the company. The manager is responsible for having sufficient funds for the firm to conduct its business and to pay its bills. Money must be located to finance receivables and inventories, 10 make arrangements for the purchase of assets, and to identify the sources of long-term financing. Cash must be available to pay dividends declared by the board of directors. The management of funds has therefore, both liquidity and profitability aspects.

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Nature of Finance Function

The finance function is the process of acquiring and utilizing funds of a business. Finance functions are related to overall management of an organization. Finance function is concerned with the policy decisions such as like of business, size of firm, type of equipment used, use of debt, liquidity position. These policy decisions determine the size of the profitability and riskiness of the business of the firm. Prof. K.M.Upadhyay has outlined the nature of finance function as follows:

- ✓ In most of the organizations, financial operations are centralized. This results in economies.
- ✓ Finance functions are performed in all business firms, irrespective of their sizes / legal forms of organization.
- ✓ They contribute to the survival and growth of the firm.
- ✓ Finance function is primarily involved with the data analysis for use in decision making.
- ✓ Finance functions are concerned with the basic business activities of a firm, in addition to external environmental factors which affect basic business activities, namely, production and marketing.
- ✓ Finance functions comprise control functions also
- ✓ The central focus of finance function is valuation of the firm.

The Changing Concept of Finance

According to Ezra Solomon, the changing concept of finance can be analysed by dividing the entire process into three broad groupings.

First Approach

This approach just emphasizes only on the liquidity and financing of the enterprise.

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Traditional Approach

This approach is concerned with raising of funds used in an organization. It compasses

- instruments, institutions and practice through which funds are augmented.
- the legal and accounting relationship between a company and its source of funds.

Modern Approach

This approach is concerned not only with the raising of funds, but their administration also. This approach encompasses

- Determination of the sum total amount of funds to employ in the firm.
- Allocation of resources efficiently to various assets.
- Procuring the best mix of financing – i.e. the type and amount of corporate securities.

An analysis of the aforesaid approaches unfold that modern approach involving an integrated approach to finance has considered not only determination of total amount of funds but also allocation of resources efficiently to various assets of the firm. Thus one can easily make out that the concept of finance has undergone a perceptible change.

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Organization of the Finance Functions

- Financial management is in many ways an integral part of the jobs of managers who are involved in planning, allocation of resources, and control. The responsibilities for financial management are dispersed throughout the organisation. For example:
  - ✓ The engineer, who proposes a new plant, shapes the investment policy of the firm.
  - ✓ The marketing analyst provides inputs in the process of forecasting and planning.
  - ✓ The purchase manager influences the level of investment in inventories.
  - ✓ The sales manager has a say in the determination of the receivables policy.
  - ✓ Departmental managers, in general, are important links in the financial control system of the firm.
- Finance, being an important portfolio, the finance functions is entrusted to top management. The Board of Directors, who are at the helm of affairs, normally constitutes a 'Finance Committee' to review and formulate financial policies. There are, however, many tasks of financial management and allied areas (like accounting) which are specialised in nature and which are attended to by specialists. These tasks and their typical distribution between the two key financial officers of the firm, the treasurer and the controller". Note that the treasurer is responsible mainly for financing and investment activities and the controller is concerned primarily with accounting and control.

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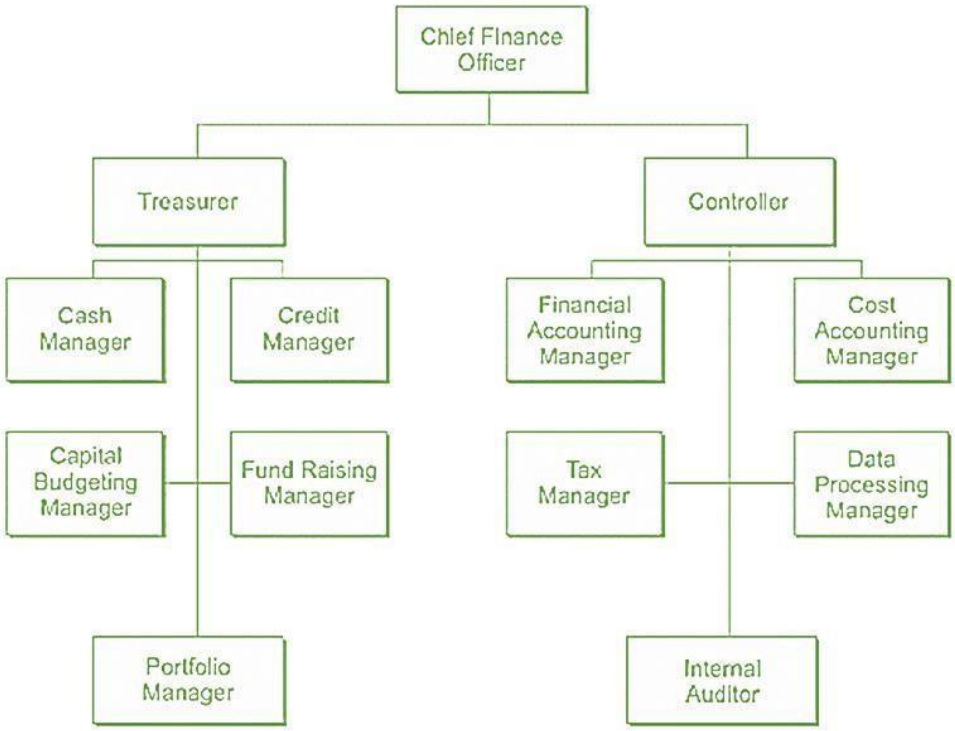
- Typically, the chief finance officer, who may be designated as Director (Finance) or Vice President (Finance), supervises the work of the treasurer and the controller. In turn, these officers are assisted by several specialist managers working under them. The finance function in a large organisation may be organised as shown in Exhibit below.

- The financial officers, in addition to their specialised responsibility, have significant involvement in injecting financial discipline in corporate management processes. They are responsible for emphasising the need for rationality in the use of funds and the need for monitoring the operations of the firm to achieve desired financial results. In this respect, the tasks of financial officers have assumed new dimensions. Instead of just looking after routine financing and accounting activities, they guide and participate in the tasks of planning, funds allocation, and control so that the financial point of view is sufficiently emphasised in the process of corporate management.

Organisation of Finance Function



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Meaning of Controller and Treasurer

- The terms 'controller' and 'treasurer' are in fact used in USA. This pattern is not popular in Indian corporate sector. Practically, the controller / financial controller in India carried out the functions of a Chief Accountant or Finance Officer of an organization. Financial controller who has been a person of executive rank does not control the finance, but monitors whether funds so augmented are properly utilized. The function of the treasurer of an organization is to raise funds and manage funds.

- The treasures functions include forecasting the financial requirements, administering the flow of cash, managing credit, flotation of securities, maintaining relations with financial institutions and protecting funds and securities. The controller's functions include providing information to formulate accounting and costing policies, preparation of financial reports, direction of internal auditing, budgeting, inventory control payment of taxes, etc. According to Prof. I.M. Pandey, while the controller's functions concentrate the asset side of the balance sheet, the treasurer's functions relate to the liability side.

Goals of the firm

Objectives / Goals – Meaning

Objectives or goals are the end results towards which activities are aimed. Formulation and definition of objectives of an organization is the basic requirement of effective management. According to George R. Terry, "a managerial objective is the intended goal which prescribes definite safe and suggests direction to efforts of a manager". Further objectives can either he short term or long-term. As business activities involve allocation of source resources among alternative uses, expected return must be balanced against its opportunity cost. It is a fait accompli to observe firms wishing to pursue several goals, of which profit maximization is of primary objective. Every firm or an organization wish to maximize profits, while at the same time minimizes expenses.

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Goals of Financial Management

- Much of the theory in corporate finance is based on the assumption that managers should strive to maximise the value of the firm. The value of the firm is equal to the value of its equity and debt claims. Under normal circumstances the value of the debt claims remains fairly stable. So maximising the value of the firm is equivalent to maximising the value of equity. This goal has been eloquently defended by distinguished finance scholars, economists, and practitioners.

- "Should a firm maximise the welfare of employees, or customers, or creditors? These are bogus questions. The real question is: What should a firm do to maximise its contribution to the society? The contribution to the society is maximised by maximising the value of the firm."

- Goals act as motivators, serve as the standards for measuring performance, help in coordination of multiplicity of tasks, facilitate in identifying inter departmental relationships and so on. The goals can be classified as official goals, operative goals and operational goals.

- The **official goals** are the general objective of any organization. They include mechanism of ROI and market value of the firms.

- The **operative goals** indicate the actual efforts taken by an organization to implement various plans, policies and norms.

- The **operational goals** are more directed, quantitative and verifiable. In fine, it can be inferred that the official, operative and operational goals are set with a pyramidal shape, the official goals at the helm of affairs (concerned with top level executives) operative goals at the middle level and operational goals at the lower level.

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- Following are the other objectives of financial management.
  - ✓ To build up reserves for growth and expansion
  - ✓ To ensure a fair return to shareholders
  - ✓ To ensure maximum operational efficiency by efficient and effective utilization of finances.
- The financial decisions can rationally be made only when the business enterprise has certain well thought out objectives. It is argued that the achievement of central goal of maximisation of the owner's economic welfare depends upon the adoption of two criteria, viz., i) profit maximisation; and (ii) wealth maximisation.

Profit Maximisation

- The term 'profit maximization' implies generation of largest amount of profits over the time period being analysed, secondary to Prof. Peter Drucker, business profits play a functional role in three different ways. In the words of Peter Drucker.
  - ✓ Profits indicate the effectiveness of business profits
  - ✓ They provide the premium to cover costs of staying in business and
  - ✓ They ensure supply of future capital.
- Profits are source of funds from which organizations are able to defray certain expenses like replacement, obsolescence, marketing etc.
- Maximization of profits for a long term is desirable and appreciable. The tendency to maximize profits in the short run may invite innumerable problems to the organization concerned. In fact, maximization of profits in the short run may give an impression of being exploitative. The extent of uncertainty in business increases the appreciation of proprietor / partner / company and hence many prefer short-run profit maximisation to long –run profit maximisaiton.

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- The underlying basic of profit maximization is efficiency. It is assumed that profit maximization causes the efficient allocation of resources under the competitive impact conditions and profit is regarded as the most appropriate measure of a firm's performance.

Arguments in favour of profit maximization

Arguments in favour of profit maximization as the objective of business are enumerated below:

- ✓ Profits are the major source of finance for the growth and development of its business.
- ✓ Profitability serves as a barometer for measuring efficiency and economic prosperity of a business entity.
- ✓ Profits are required to promote socio-economic welfare.

Criticisms levelled against profit maximization

- However, profit maximization objective has been criticized on innumerable grounds. Under the changed economic and corporate environment, profit-maximisation is regarded as unrealistic, difficult, unappropriated and socially not much liked goal for business organizations. Profit maximization as an objective of financial management has been considered inadequate and rejected because of the following drawbacks.
  - ✓ There are several goals towards which a business firm / organization should direct themselves profit – maximization is one of the goals of the organization and not the only goal.
  - ✓ Maintenance of firm's share in the market, development and growth of the firm, expansion and diversification are other goals of business concern.
  - ✓ Rendering social responsibility
  - ✓ Enhancing the shareholders' wealth maximization.

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- As Solomon opines, profit maximisation has been rejected as an operational criterion for maximising the owner's economic welfare as it cannot help us in ranking alternative courses of action in terms of their economic efficiency. This is because—(i) it is vague; (ii) it ignores the timing of returns; (iii) it ignores risk.

- Profit maximisation is considered as an important goal in financial decision-making in an organisation. It ensures that firm utilizes its available resources most efficiently under conditions of competitive markets. Profit maximisation as corporate goal is criticised by scholars mainly on following grounds:
  - ✓ It is vague conceptually.
  - ✓ It ignores timing of returns.
  - ✓ It ignores the risk factor.
  - ✓ It may tempt to make such decisions which may in the long run prove disastrous.
  - ✓ Its emphasis is generally on short run projects.
  - ✓ It may cause decreasing share prices.
  - ✓ The profit is only one of the many objectives and variables that a firm considers.

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Wealth Maximisation

- Wealth Maximisation refers to all the efforts put in for maximizing the net present value (i.e. wealth) of any particular course of action which is just the difference between the gross present value of its benefits and the amount of investment required to achieve such benefits.

- Wealth maximisation principle is also consistent with the objective of 'maximising the economic welfare of the proprietors of the firm'. This, in turn, calls for an all out bid to maximise the market value of shares of that firm which are held by its owners. As Van Horne aptly remarks, the market price of the shares of a company (firm) serves as a performance index or report card of its progress. It indicates how well management is doing on behalf of its share-holders.

- The wealth maximization objective serves the interests of suppliers of loaned capital, employees, management and society. This objective not only serves shareholders interests by increasing the value of holding but also ensures security to lenders also. According to wealth maximization objective, the primary objective of any business is to maximize share holders wealth. It implies that maximizing the net present value of a course of action to shareholders. The management of an organisation maximises the present value not only for shareholders but for all including employees, customers, suppliers and community at large. This goal for the maximum present value is generally justified on the following grounds:
  - ✓ It is consistent with the object of maximising owners' economic welfare.
  - ✓ It focuses on the long run picture.
  - ✓ It considers risk.
  - ✓ It recognises the value of regular dividend payments.
  - ✓ It takes into account time value of money.
  - ✓ It maintains market price of its shares
  - ✓ It seeks growth is sales and earnings.

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- Maximizing the shareholders' economic welfare is equivalent to maximizing the utility of their consumption every time. With their wealth maximized, shareholders can afford their cash flows in such a way as to optimize their consumption. From the shareholders point of view, the wealth created by a company through the actions is reflected in the market value of the company's shares.

Profit Maximisation versus Shareholder Wealth Maximization

- Profit maximization is basically a single-period or, at the most, a short-term goal. It is usually interpreted to mean the maximization of profits within a given period of time. A firm may maximize its short-term profits at the expense of its long-term profitability and still realize this goal. In contrast, shareholder wealth maximization is a long-term goal shareholders are interested in future as well as present profits. Wealth maximization is generally preferred because it considers (1) wealth for the long term, (2) risk or uncertainty. (3) the timing of returns, and (4) the "shareholders' return. The following table provides a summary of the advantages and disadvantages of these two often conflicting goals

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Table: Profit Maximisation Versus Shareholder Wealth Maximization

Goal	Objective	Advantages	Disadvantages
Profit Maximisation	Large amount of profits	1. Easy to calculate profits 2. Easy to determine the link between financial decisions and profits	1. Emphasizes the short-term 2. Ignores risk or uncertainty 3. Ignores the timing of returns 4. Requires immediate resources
Shareholder wealth maximization	Highest market value of common stock	1. Emphasizes the long term 2. Recognises risk or uncertainty 3. Recognises the timing of returns 4. Considers' return	1. Offers no clear relationship between financial decisions and stock price. 2. Can lead to management anxiety and frustration

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- Alternative Goals Are there other goals, besides the goal of maximal shareholder wealth, that express the shareholders' viewpoint? Several alternatives have been suggested: maximisation of profit, maximisation of earnings per share, maximisation of return on equity (defined as equity earnings/net worth).

Business Ethics and Social Responsibility

- Many companies which have created enormous value for their shareholders are highly admired for their ethical behaviour and concern for society. Every company should consider its business ethics and its corporate social responsibility.
- Business ethics essentially focuses on the behaviour of employees and corporate social responsibility is concerned with the contributions that a company should make to worthwhile social causes.

Business Ethics

- Business ethics refers to the standards of conduct or moral behaviour as applied to business practices. Ethics and fraud are used commonly in business reporting, but they have different meanings. Fraud involves violating the law, whereas unethical behaviour involves breaching the code of ethics or moral behaviour. While fraud can be defined objectively, unethical behaviour is defined rather subjectively.
- A business firm is deemed to practice high standards of ethics if it deals with its employees, suppliers, customers, creditors, shareholders, and community in a fair and honest manner.

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Corporate Social Responsibility

- Corporate social responsibility (CSR), an allied issue, has received a great deal of attention particularly in recent years. There are various definitions of corporate social responsibility. The World Business Council, for example, defines it as follows:
- "Corporate social responsibility is the continuing commitment by business to behave ethically and contribute to economic development while improving the quality of life of the workforce and their families as well as of the local community and society at large."

The Financial Environment

- In varying degrees, all businesses operate within the financial system, which consists of a number of institutions and markets serving business firms, individuals, and governments.
- When a firm invests temporarily idle funds in marketable securities, it has direct contact with financial markets. More important, most firms use financial markets to help finance their investment in assets. In the final analysis, the market price of a company's securities is the test of whether the company is a success or a failure. While business firms compete with each other in the product markets, they must continually interact with the financial markets.
- Because of the importance of this environment to the financial manager, as well as to the individual as a consumer of financial services, this section is devoted to exploring the financial system and the ever-changing environment in which capital is raised.

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Purpose of Financial Markets

- The purpose of financial markets in an economy is to allocate savings efficiently to ultimate users. A financial market is a market for creation and exchange of financial assets. If you buy or sell financial assets, you will participate in financial markets in some way or the other.

- Financial assets exist in an economy because the savings of various individuals, corporations, and governments during a period of time differ from their investment in real assets. By real assets, we mean such things as houses, buildings, equipment, inventories, and durable goods.

Functions of Financial Markets

Financial markets play a very pivotal role in allocating resources in an economy by performing three important functions:

- **Financial markets facilitate price discovery.** The continual interaction among numerous buyers and sellers who throng financial markets helps in establishing or discovering the prices of financial assets. Well-organised financial markets seem to be remarkably efficient in price discovery. That is why financial economists say: "If you want to know what is the value of a financial asset simply look at its price in the financial market."

- **Financial markets provide liquidity to financial assets.** Investors can readily sell their financial assets through the mechanism of financial markets. In the absence of financial markets which provide such liquidity the motivation of investors to hold financial assets will be considerably diminished. Thanks to negotiability and transferability of securities through the financial markets, it is possible for companies (and other entities) to raise long-term funds from investors with short-term and medium-term horizons. While one investor is substituted by another when a security is transacted, the company is assured of long-term availability of funds.

- **Financial markets considerably reduce the cost of transacting.** The two major costs associated with transacting are search costs and information costs. Search costs comprise explicit costs such as the expenses incurred on advertising when one wants to buy or sell an asset and implicit costs such as the effort and time one has to put in to locate a customer. Information costs refers to costs incurred in evaluating the investment merits of financial assets.

Classification of Financial Markets

- There are different ways of classifying financial markets.
- **One way** is to classify financial markets by the type of financial claim. The debt market is the financial market for fixed claims (debt instruments) and the equity market is the financial market for residual claims (equity instruments).
- **A second way** is to classify financial markets by the maturity of claims. The market for short-term financial claims is referred to as the money market and the market for long-term financial claims is called the capital market. Traditionally the cut off between short-term and long-term has been one year - though this dividing line is arbitrary, it is widely accepted. Since short-term financial claims are almost invariably debt claims, the money market is the market for short-term debt instruments. The capital market is the market for long-term debt instruments and equity instruments.
- **A third way** to classify financial markets is based on whether the claims represent new issues or outstanding issues. The market where issuers sell new claims is referred to as the primary market and the market where investors trade outstanding securities is called the secondary market.
- **A fourth way** to classify financial markets is by the timing of delivery. A cash or spot market is one where the delivery occurs immediately and a forward or futures market is one where the delivery occurs at a predetermined time in future.

- **A fifth way** to classify financial markets is by the nature of its organisational structure. An exchange-traded market is characterised by a centralised organisation with standardised procedures. Anover-the countermarket is a decentralised market with customised procedures.

Summary Classification of Financial Markets

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Rise of Formal Financial Markets:

The role of formal financial markets has expanded rapidly in recent years. The key factors which have contributed to this are as follows:

- ✓ Robust mechanisms for ensuring that trades are completed according to agreed terms.
- ✓ Adequate legal procedures to settle disputes.
- ✓ Low transaction costs.
- ✓ Transparent availability of information on trades and prices.
- ✓ Adequate protection to investors.
- ✓ High liquidity.

Forces of Changes :

Financial markets have undergone significant transformation since the mid -1980s, thanks to the following factors:

- ✓ Technological advances in computing and telecommunications.
- ✓ The wave of deregulation and liberalisation that has been sweeping the world.
- ✓ Consolidation and globalisation in the wake of heightened competition.

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Time value of Money

- Money has time value. A rupee today is more valuable than a rupee a year hence. Why? There are several reasons:
  - ✓ Individuals, in general, prefer current consumption to future consumption.
  - ✓ Capital can be employed productively to generate positive returns. An investment of one rupee today would grow to (1 + r) a year hence (r is the rate of return earned on the investment).
  - ✓ In an inflationary period, a rupee today represents a greater real purchasing power than a rupee a year.
- Hence, Most financial problems involve cash flows occurring at different points of time. These cash flows have to be brought to the same point of time for purposes of comparison and aggregation. Hence you should understand the tools of compounding and discounting which underlie most of what we do in finance - from valuing securities to analysing projects, from determining lease rentals to choosing the right financing instruments, from setting up the loan amortisation schedules to valuing companies, so on and so forth.

Time Lines and Notation

- When cash flows occur at different points in time, it is easier to deal with them using a time line. A time line shows the timing and the amount of each cash flow in a cash flow stream. Thus, a cash flow stream of Rs. 10,000 at the end of each of the next five years can be depicted on a time line like the one shown in Part A of below Exhibit.
- In Exhibit below, 0 refers to the present time. A cash flow that occurs at time 0 is already in present value terms and hence does not require any adjustment for time value of money. You must distinguish between a period of time and a point of time.

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- Period 1 which is the first year is the portion of time line between point 0 and point 1. The cash flow occurring at point 1 is the cash flow that occurs at the end of period 1. Finally, the discount rate, which is 12 percent in our example, is specified for each period on the time line and it may differ from period to period. If the cash flow occurs at the beginning, rather than the end, of each year, the time line would be as shown in Part B of Exhibit below.

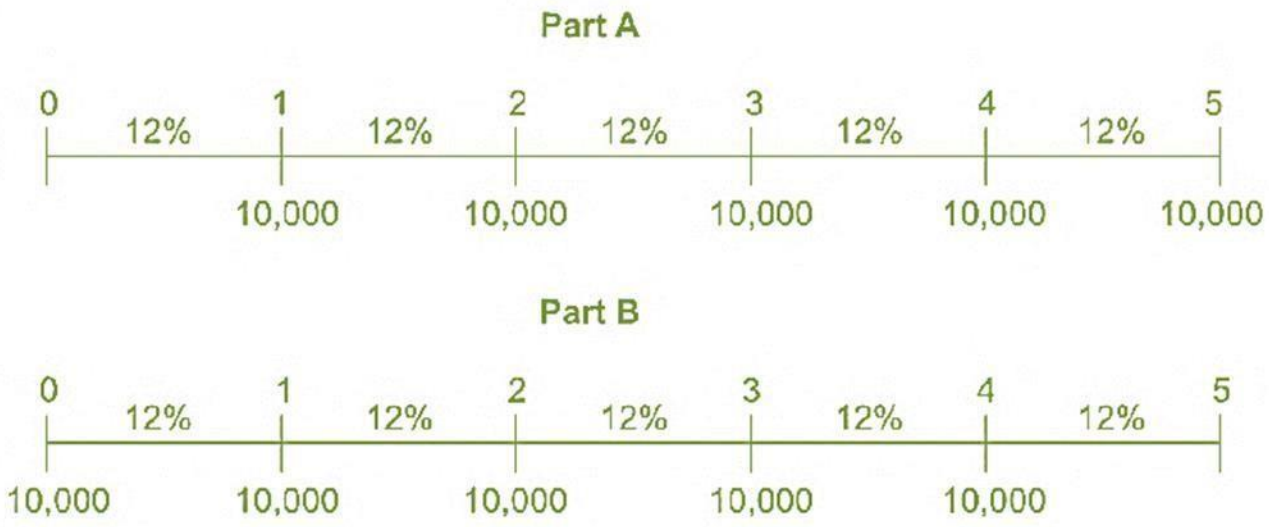

Exhibit - Time Line

- Note that a cash flow occurring at the end of year 1 is equivalent to a cash flow occurring at the beginning of year 2.
- Cash flows can be positive or negative. A positive cash flow is called a cash inflow; a negative cash flow, a cash outflow.

❖ The following notation will be used in our discussion:

PV	:	Present value
FV_n	:	Future value n years hence
C_t	:	Cash flow occuring at the end of year t
A	:	A stream of constant periodic cash flows over a given time
r	:	Interest rate or discount rate
g	:	Expected growth rate in cash flows
n	:	Number of periods over which the cash flows occur.

Future Value of a Single Amount Problem

Suppose you invest Rs.1,000 for three years in a savings account that pays 10 percent interest per year. If you let your interest income be reinvested, your investment will grow as follows:

First year : Principal at the beginning	- 1000
Interest for the year	- 100
(Rs.1,000 x 0.10)	
Principal at the end	- 1100
Second year: Principal at the beginning	- 1,100
Interest for the year	- 110
(Rs.1,100 x 0.10)	
Principal at the end	- 1210
Third year: Principal at the beginning	- 1,210
Interest for the year	- 121
(Rs.1,210 x 0.10)	
Principal at the end	- 1331

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Formula

The process of investing money as well as reinvesting the interest earned thereon is called compounding.

The future value or compounded value of an investment after n years when the interest rate is r percent is :

$FV_n = PV(1 + r)^n$

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In this equation (1 + r)" is called the future value interest factor or simply the future value factor.

To solve future value problems you have to find the future value factors. You can do it in different ways. In the example given above, you can multiply 1.10 by itself three times or more generally (1 + r) by itself n times.

This becomes tedious when the period of investment is long.

Fortunately, you have an easy way to get the future value factor. Most calculators have a key labelled "y^x". So all that you have to do is to enter 1.10, press the key labelled y^x, enter 3, and press the "=" key to obtain the answer.

Alternatively, you can consult a future value interest factor (FVIF) table. Exhibit below presents one such table showing the future value factors for certain combinations of periods and interest rates.

Suppose you deposit Rs.1,000 today in a bank which pays 10 percent interest compounded annually. Flow much will the deposit grow to after 8 years and 12 years ?

The future value 8 years hence will be:

$FV_n = PV(1 + r)^n$

Rs.1,000 $(1+0.10)^8$ = Rs.1,000 (2.144)

Rs.1,000 $(1.10)^8$ = Rs.1,000 (2.144)

= Rs.2,144

The future value 12 years hence will be :

Rs.1,000 $(1.10)^{12}$ = Rs.1,000 (3.138)

= Rs.3,138

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Value of future value interest factor - FVIFr,n for Various Combinations of r and n

n/r	6%	8%	10%	12%	14%
2	1.124	1.166	1.210	1.254	1.300
4	1.262	1.360	1.464	1.574	1.689
6	1.419	1.587	1.772	1.974	2.195
8	1.594	1.851	2.144	2.476	1.853
10	1.791	2.159	2.594	3.106	3.707
12	2.012	2.518	3.138	3.896	4.817

While tables are easy to use they have a limitation as they contain values only for a small number of interest rates. So often you may have to use a calculator.

Finding the Growth Rate

The formula we used to calculate future value is quite general and it can be applied to answer other types of questions related to growth.

Suppose your company currently has 5,000 employees and this number is expected to grow by 5 percent per year. How many employees will your company have in 10 years? The number of employees 10 years hence will be:

$FV_n = PV(1 + r)^n$

$= 5{,}000 \times (1.05)^{10}$

$= 5000 \times 1.629$

$= 8{,}145$

Consider another example. Phoenix Limited had revenues of Rs.100 million in 2000 which increased to Rs.1000 million in 2010. What was the compound growth rate in revenues? The compound growth rate may be calculated as follows:

$100\,(1 + g)^{10} = 1{,}000$

$(1+g)^{10} = 1000/100$

$(1+g)^{10} = 10$

$(1 + g) = 10^{1/10}$

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$g=10^{1/10}-l$

= 1.26 - 1

= 0.26 or 26 percent

Compound and Simple Interest

So far we assumed that money is invested at compound interest which means that each interest payment is reinvested to earn further interest in future periods.

By contrast, if no interest is earned on interest, the investment earns only simple interest.

In such a case the investment grows as follows:

Future value = Present value [1 + Number of years x Interest rate]

For example, an investment of Rs.1,000, if invested at 12 percent simple interest rate, will in 5 years time become :

1,000 [1+5x0.12] = Rs.1600

Exhibit below shows how an investment of Rs. 1,000 grows over time under simple interest as well as compound interest when the interest rate is 12 percent.

From this exhibit you can feel the power of compound interest.

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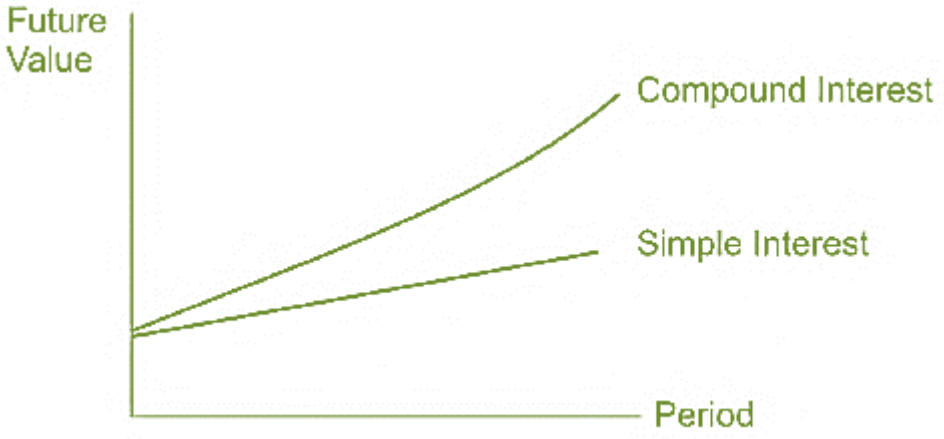
Value of Rs. 1000 Invested at 10 percent Simple and Compound Interest

Below exhibit shows graphically, how money grows under simple interest and compound interest. Note that under simple interest the growth is linear and under compound interest the growth is exponential.

	Simple Interest					Compound Interest				
Year	Starting Balance	+	Interest	=	Ending Balance	Starting Balance	+	Interest	=	Ending Balance
1	1000	+	100	=	1100	1000	+	100	=	1100
5	1400	+	100	=	1500	1464	+	146	=	1610
10	1900	+	100	=	2000	2358	+	236	=	2594
20	2900	+	100	=	3000	6116	+	612	=	6728
50	5900	+	100	=	6000	106,718	+	10672	=	117,390
100	10,900	+	100	=	11,000	12,527,829	+	1,252,783	=	13,780,612



Present Value of a Single Amount

Suppose someone promises to give you Rs.1,000 after three years hence. What is the present value of this amount if the interest rate is 10 percent? The present value can be calculated by discounting Rs. 1,000, to the present point of time, as follows :

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$$\text{Value three years hence} = \text{Rs.}1{,}000$$

$$\text{Value two years hence} = \text{Rs.}1{,}000\left[\frac{1}{1.10}\right]$$

$$\text{Value one year hence} = \text{Rs.}1{,}000\left[\frac{1}{1.10}\right]\left[\frac{1}{1.10}\right]$$

$$\text{Value now} = \text{Rs.}1{,}000\left[\frac{1}{1.10}\right]\left[\frac{1}{1.10}\right]\left[\frac{1}{1.10}\right]$$

Formula

The process of discounting, used for calculating the present value, is simply the inverse of compounding. The present value formula can be readily obtained by manipulating the compounding formula:

$FV_n = PV\ (1 + r)^n$

Dividing both the sides of above eqn by $(1 + r)^n$, we get:

$PV = FV_n\ [1 / (1 + r)^n]$

The factor $1/(1 + r)^n$ in above eqn is called the discounting factor or the present value interest factor ($PVIF_{r,n}$).

Exhibit below gives the **value of PVIF $_{r,n}$ for several combinations of r and n.**

n/r	*6%*	*8%*	*10%*	*12%*	*14%*
2	0.890	0.857	0.826	0.797	0.770
4	0.792	0.735	0.683	0.636	0.592
6	0.705	0.630	0.565	0.507	0.456
8	0.626	0.540	0.467	0.404	0.351
10	0.558	0.463	0.386	0.322	0.270
12	0.497	0.397	0.319	0.257	0.208

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Problem

What is the present value of Rs.1,000 receivable 6 years hence if the rate of discount is 10 percent ?

The present value is:

$PV = FV_n [1 / (1 + r)^n]$

$=1000 [1/(1+0.10)^6]$

=Rs. 565

WE can Verify using the above table for r = 10 percent and for n = 6 years

$PVIF_{10\%,6} = 0.565$

Rs.1,000 x $PVIF_{10\%,6}$

= Rs.l,000(0.565)

=Rs.565

Alternative way

What is the present value of Rs.l,000 receivable 20 years hence if the discount rate is 8 percent? Since the above table , Exhibit does not have the value of $PVIF_{8\%, 20}$

we obtain the answer as follows:

$$\begin{aligned} \text{Rs.}1{,}000\left[\frac{1}{1.08}\right]^{20} &= \text{Rs.}1{,}000\left[\frac{1}{1.08}\right]^{10}\left[\frac{1}{1.08}\right]^{10} \\ &= \text{Rs.}1{,}000\ (PVIF_{8\%,10})(PVIF_{8\%,10}) \\ &= \text{Rs.}1{,}000\ (0.463)(0.463) = \text{Rs.}214 \end{aligned}$$

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Future Value of an Annuity

- An annuity is a stream of constant cash flows (payments or receipts) occurring at regular intervals of time.
- The premium payments of a life insurance policy, for example, are an annuity.
- When the cash flows occur at the end of each period, the annuity is called an ordinary annuity or a deferred annuity.
- When the cash flows occur at the beginning of each period, the annuity is called an annuity due.

Our discussion here will focus on a deferred annuity.

The formula for an annuity due is simply (1 + r) times the formula for the corresponding ordinary annuity.

Problem

Suppose you deposit Rs.1,000 annually in a bank for 5 years and your deposits earn a compound interest rate of 10 percent. What will be the value of this series of deposits (an annuity) at the end of 5 years? Assuming that each deposit occurs at the end of the year, the future value of this annuity will be:

$=Rs.1,000(1.10)^4 + Rs.1,000(1.10)^3 + Rs.l,000(1.10)^2 + Rs.l,000(1.10) + Rs.1,000$

$= Rs.1,000(1.464) + Rs.1,000(1.331) + Rs.l,000(1.21) + Rs.l,000(1.10) + Rs.1,000$

$= Rs.6,105$

The time line for this annuity is shown in below Exhibit

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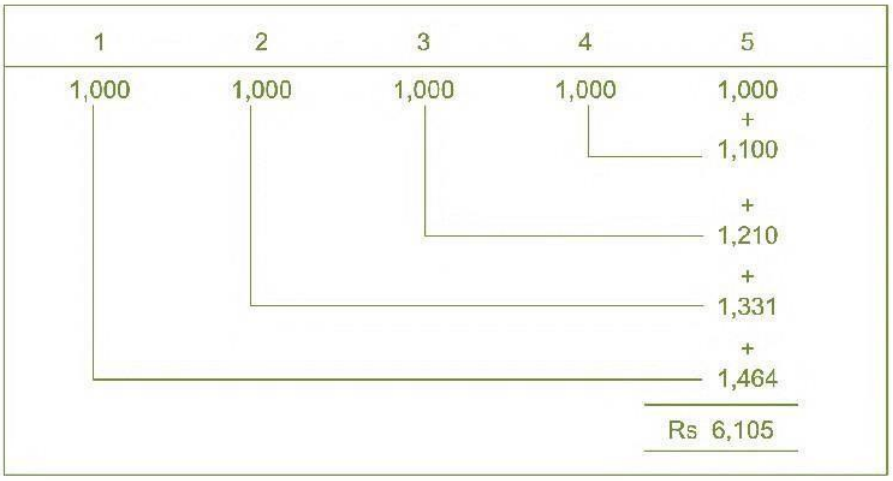
Time Line for an Annuity



Formula

In general terms the future value of an annuity is given by the following formula:

$FVA_n = A(1+r)^{n-1} + A(1+r)^{n-2} + \ldots\ldots\ldots\ldots\ldots\ldots + A(1+r) + A$

$= A[(1+r)^n - 1] / r$

The formula for the future value of an annuity is derived as follows:
The future value of an annuity is:

$$FVA_n = A(1+r)^{n-1} + A(1+r)^{n-2} + \cdots + A(1+r) + A \quad (1)$$

Multiplying both the sides of (1) by $(1+r)$ gives:

$$FVA_n(1+r) = A(1+r)^n + A(1+r)^{n-1} + \cdots + A(1+r)^2 + A(1+r) \quad (2)$$

Subtracting (1) from (2) yields:

$$FVA_n\, r = A[(1+r)^n - 1] \quad (3)$$

Dividing both the sides of (3) by r gives:

$$FVA_n = A\left[\frac{(1+r)^n - 1}{r}\right] \quad (4)$$

where FVA); is the future value of an annuity which has a duration of n periods,

A is the constant periodic flow,

r is the interest rate per period, and

n is the duration of the annuity.

The term $[(1 + r)^n - 1] / r$ is referred to as the future value interest factor for an annuity

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($FVIFA_{r,n}$). The value of this factor for several combinations of r and n is given in below Exhibit.

Value of $FVIFA_{r,n}$ for Various Combinations of r and n

n/r	6%	8%	10%	12%	14%
2	2.060	2.080	2.100	2.120	2.140
4	4.375	4.507	4.641	4.779	4.921
6	6.975	7. 336	7.716	8.115	8.536
8	9.897	10.636	11.436	12.299	13.232
10	13.181	14.487	15.937	17.548	19.337
12	16.869	18.977	21.384	24.133	27.270

Applications

The future value annuity formula can be applied in a variety of contexts. Its important applications are illustrated below.

Case: 1. Knowing What Lies in Store for You

Suppose you have decided to deposit Rs.30,000 per year in your Public Provident Fund Account for 30 years. What will be the accumulated amount in your Public Provident Fund Account at the end of 30 years if the interest rate is 8 percent?

The accumulated sum will be:

$$\text{Rs.30,000 } (FVIFA_{8\%,30yrs})$$
$$= \text{Rs.30,000}\left[\frac{(1.08)^{30}-1}{.08}\right]$$
$$= \text{Rs.30,000 [113.283]}$$
$$= \text{Rs.3,398,490}$$

Case: 2 How Much Should You Save Annually

You want to buy a house after 5 years when it is expected to cost Rs.20 lakhs. How much should you save annually if your savings earn a compound return of 12 percent? The future value interest factor for a 5-year annuity, given an interest rate of 12 percent is,

$FVIFA_{n=5,\ r=12\%}$

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$$= \frac{(1+0.12)^5 - 1}{0.12} = 6.353$$

The annual savings should be:

$$\frac{\text{Rs. } 2000{,}000}{6.353} = \text{Rs.}314{,}812$$

Case: 3 Annual Deposit in a Sinking Fund

Futura Limited has an obligation to redeem Rs.500 million bonds 6 years hence. How much should the company deposit annually in a sinking fund account wherein it earns 14 percent interest, to cumulate Rs.500 million in 6 years' time? The future value interest factor for a 6 year annuity, given an interest rate of 14 percent

$$\text{FVIFA}_{n=6,\ r=14\%} = \frac{(1+0.14)^6 - 1}{0.14} = 8.536$$

The annual sinking fund deposit should be:

$$\frac{\text{Rs. } 500 \text{ million}}{8.536} = \text{Rs.}58.575 \text{ million}$$

Case: 4 Finding the Interest Rate

A finance company advertises that it will pay a lump sum of Rs.8,000 at the end of 6 years to investors who deposit annually Rs. 1,000 for 6 years. What interest rate is implicit in this offer?

The interest rate may be calculated in two steps :

1. Find the $\text{FVIFA}_{r,6}$ for this contract as follows :

Rs.8,000 = Rs.1,000 x $\text{FVIFA}_{r,6}$

$$\text{FVIFA}_{r,6} = \frac{\text{Rs. } 8{,}000}{\text{Rs. } 1{,}000} = 8.000$$

Look at the $\text{FVIFA}_{r,n}$ table and read the row corresponding to 6 years until you find a value close to 8.000. Doing so, we find that

$\text{FVIFA}_{12\%,\,6}$ is 8.115

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So, we conclude that the interest rate is slightly below 12 percent.

Case: 5 How Long Should You Wait

You want to take up a trip to Europe & US which costs Rs.1,000,000 - the cost is expected to remain unchanged in nominal terms. You can save annually Rs.50,000 to fulfill your desire. How long will you have to wait if your savings earn an interest of 12 percent?

The future value of an annuity of Rs.50,000 that earns 12 percent is equated to Rs.1,000,000.

$$50{,}000 \times \text{FVIFA}_{n=?,12\%} = 1{,}000{,}000$$

$$50{,}000 \times \left[\frac{1.12^n - 1}{0.12}\right] = 1{,}000{,}000$$

$$1.12^n - 1 = \frac{1{,}000{,}000}{50{,}000} \times 0.12 = 2.4$$

$$1.12^n = 2.4 + 1 = 3.4$$

$$n \log 1.12 = \log 3.4$$

$$n \times 0.0492 = 0.5315$$

$$n = \frac{0.5315}{0.0492} = 10.8 \text{ years}$$

You will have to wait for about 11 years.

Present value of an Annuity

Suppose you expect to receive Rs. 1,000 annually for 3 years, each receipt occurring at the end of the year. What is the present value of this stream of benefits if the discount rate is 10 percent? The present value of this annuity is simply the sum of the present values of all the inflows of this annuity:

$$\text{Rs. } 1{,}000\left[\frac{1}{1.10}\right] + \text{Rs. } 1{,}000\left[\frac{1}{1.10}\right]^2 + \text{Rs. } 1{,}000\left[\frac{1}{1.10}\right]^3$$

$$= \text{Rs.}1{,}000 \times 0.9091 + \text{Rs.}1{,}000 \times 0.8264 + \text{Rs.}1{,}000 \times 0.7513$$

$$= \text{Rs.}2{,}486.8$$

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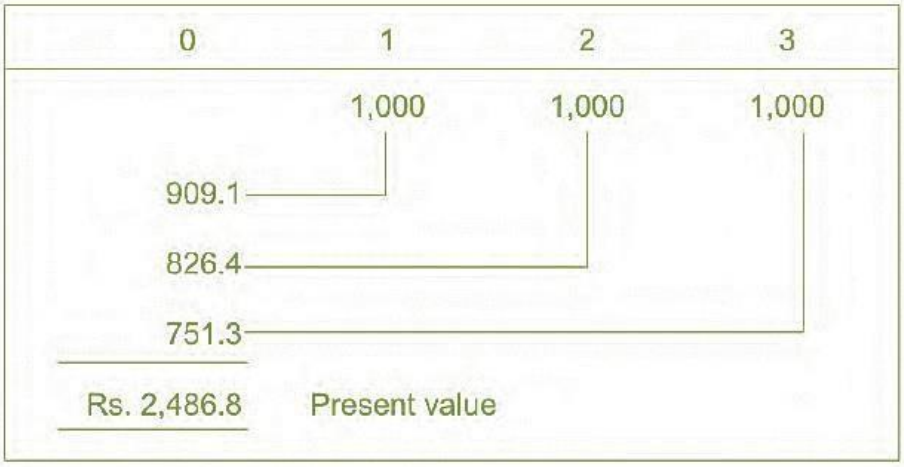
The time line for this problem is shown in Exhibit below,



Formula

In general terms the present value of an annuity may be expressed as follows:

$$\mathrm{PVA}_n = \frac{A}{(1+r)} + \frac{A}{(1+r)^2} + \cdots + \frac{A}{(1+r)^{n-1}} + \frac{A}{(1+r)^n}$$

$$= A\left[\frac{1}{(1+r)} + \frac{1}{(1+r)^2} + \ldots + \frac{1}{(1+r)^{n-1}} + \frac{1}{(1+r)^n}\right]$$

$$= A\,[\{1-(1/1+r)^n\}/\,r]$$

where PVA_n is the present value of an annuity which has a duration of n periods, A is the constant periodic flow, and r is the discount rate.

$[\{1- (1/1 + r)^n\}/r]$ is referred to as the present value interest factor for an annuity ($PVIFA_{r,n}$). It is, as can be seen clearly, simply equal to the product of the future value interest factor for an annuity ($FVIFA_{r,n}$) and the present value interest factor ($PVIF_{r,n}$). Exhibit below shows the value of $PVIFA_{r,n}$ for several combinations of r and n.

The formula for the present value of an annuity is derived as follows:

$$PVA_n = A(1+r)^{-1} + A(1+r)^{-2} + \cdots + A(1+r)^{-n} \quad (1)$$

Multiplying both the sides of (1) by $(1+r)$ gives :

$$PVA_n(1+r) = A + A(1+r)^{-1} + \cdots + A(1+r)^{1-n} \quad (2)$$

Subtracting (1) from (2) yields :

$$PVA_n\, r = A[1-(1+r)^{-n}] = A\{[(1+r)^n - 1] / (1+r)^n\} \quad (3)$$

Dividing both the sides of (3) by r results in :

$$PVA_n = A\{[(1+r)^n - 1] / r(1+r)^n\} = A[\{1-(1/1+r)^n\}/r] \quad (4)$$

Value of $PVIFA_{r,n}$ for Different Combinations of r and n

n/r	6%	8%	10%	12%	14%
2	1.833	1.783	1.737	1.690	1.647
4	3.465	3.312	3.170	3.037	2.914
6	4.917	4.623	4.355	4.111	3.889
8	6.210	5.747	5.335	4.968	4.639
10	7.360	6.710	6.145	5.650	5.216
12	8.384	7.536	6.814	6.194	5.660

Applications

The present value annuity formula can be applied in a variety of contexts. Its important applications are discussed below.

case: 1 How Much Can You Borrow for a Car

After reviewing your budget, you have determined that you can afford to pay Rs.12,000 per month for 3 years toward a new car. You call a finance company and learn that the going rate of interest on car finance is 1.5 percent per month for 36 months. How much can you borrow?

To determine how much you can borrow, we have to calculate the present value of Rs. 12,000

per month for 36 months at 1.5 percent per month.

Since the loan payments are ordinary annuity, the present value interest factor of annuity:

$$PVIFA_{r,n} = \frac{1-\frac{1}{(1+r)^n}}{r} = \frac{1-\frac{1}{(1.015)^{36}}}{0.015} = 27.66$$

Hence the present value of 36 payments of Rs.12,000 each is:

Present value = Rs.12,000 x 27.66

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= Rs.331,920

You can, therefore, borrow Rs.331,920 to buy the car.

Amortization

Period of Loan Amortisation

You want to borrow Rs. 10,80,000 to buy a flat. You approach a housing finance company which charges 12.5 percent interest. You can pay Rs.1,80000 per year toward loan amortisation. What should be the maturity period of the loan? The present value of annuity of Rs. 1,80,000 is set equal to Rs. 10,80,000.

$180{,}000 \times PVIFA_{n,r} = 10{,}80{,}000$

$180{,}000 \times PVIFA_{n=?,r=12\ 5\%} = 1{,}080{,}000$

$$1{,}80{,}000 \left[\frac{1 - \frac{1}{(1.125)^n}}{0.125} \right] = 1{,}080{,}000$$

Given this equality the value of n is calculated as follows:

$$\frac{1 - \frac{1}{(1.125)^n}}{0.125} = \frac{1{,}080{,}000}{180{,}000} = 6$$

$$\frac{1}{(1.125)^n} = 0.25$$

$$1.125^n = 4$$

$$n \log 1.125 = \log 4$$

$$n \times 0.0512 = 0.6021$$

$$n = \frac{0.6021}{0.0512} = 11.76 \text{ years}$$

You can perhaps request for a maturity of 12 years.

Determining the Loan Amortisation Schedule

Most loans are repaid in equal periodic instalments (monthly, quarterly, or annually), which cover interest as well as principal repayment. Such loans are referred to as amortised loans.

For an amortised loan we would like to know (a) the periodic instalment payment and (b) the loan amortisation schedule showing the breakup of the periodic instalment payments between the interest component and the principal repayment component.

To illustrate how these are calculated, let us look an example.

Case 1

Suppose a firm borrows Rs.10,00,000 at an interest rate of 15 percent and the loan is to be repaid in 5 equal instalments payable at the end of each of the next 5 years. The annual instalment payment A is obtained by solving the following equation.

Loan amount = A x PVIFA $_{n = 5, r = 15\%}$

1,000,000 = A x 3.3522

Hence A = 298,312

The amortisation schedule is shown in Below Exhibit. The interest component is the largest for year 1 and progressively declines as the outstanding loan amount decreases.

Loan Amortisation Schedule

Year	Beginning Amount (1)	Annual Instalment (2)	Interest (3)	Principal Repayment (2)-(3) = (4)	Remaining Balance (1)-(4) = (5)
1	1,000,000	298,312	150,000[a]	148,312[b]	851,688
2	851,688	298,312	127,753	170,559	681,129
3	681,129	298,312	102,169	196,143	484,986
4	484,986	298,312	72,748	225,564	259,422
5	259,422	298,312	38,913	259,399	23*

a. Interest is calculated by multiplying the beginning loan balance by the interest rate.
b. Principal repayment is equal to annual instalment minus interest.
* Due to rounding off error a small balance is shown.

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Determining the Periodic Withdrawal

Case 2

Mr. Karthick deposits Rs.3,00,000 on retirement in a bank which pays 10 percent annual interest. How much can be withdrawn annually for a period of 10 years?

$$A = \text{Rs.}300{,}000 \times \frac{1}{\text{PVIFA}_{10\%10}}$$

$$= \text{Rs.}300{,}000 \times \frac{1}{6.145}$$

$$= \text{Rs.}48{,}820$$

Finding the Interest Rate

Suppose someone offers you the following financial contract: If you deposit Rs.10,000 with him he promises to pay Rs.2,500 annually for 6 years. What interest rate do you earn on this deposit?

Step 1 Find the $PVIFA_{r,6}$ for this contract by dividing Rs.10,000 by Rs.2,500

$$\text{PVIFA}_{r,6} = \frac{\text{Rs. } 10{,}000}{\text{Rs. } 2{,}500} = 4.000$$

Step 2 Look at the PVIFA table and read the row corresponding to 6 years until you find a value close to 4.000. Doing so, you find that

$PVIFA_{12\%,6}$ is 4.111 and $PVIFA_{14\%,6}$ is 3.889

Since 4,000 lies in the middle of these values the interest rate lies (approximately) in the middle. So, the interest rate is 13 percent.

Valuing an Infrequent Annuity

Ramesh will receive an annuity of Rs. 50,000, payable once every two years. The payments will stretch out over 30 years. The first payment will be received at the end of two years. If the annual interest rate is 8 percent, what is the present value of the annuity?

The interest rate over a two-year period is:

(1.08) x (1.08) - 1 = 16.64 percent

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This means that Rs. 100 invested over two years will yield Rs. 116.64.

We have to calculate the present value of a Rs.50,000 annuity over 15 periods, with an interest rate of 16.64 percent per period. This works out to:

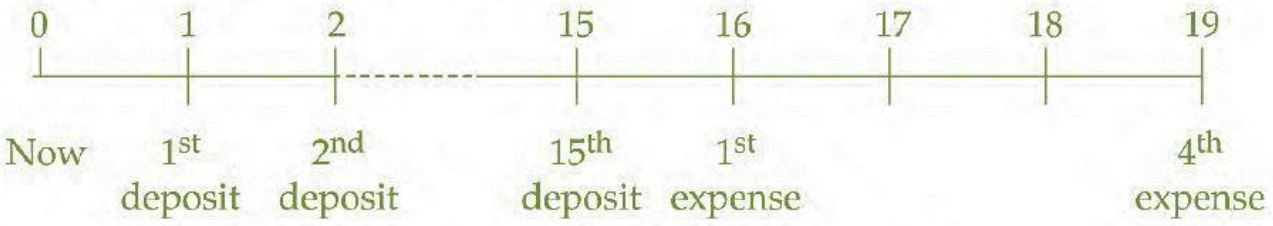
Rs. 50,000 [{1 - $(1/1.1664)^{15}$}] / 0.1664

= Rs. 270,620

Equating Present Value of Two Annuities

Ravi wants to save for the college education of his son, Krithwik. Ravi estimates that the college education expenses will be rupees one million per year for four years when his son, Krithwik reaches college in 16 years - the expenses will be payable at the beginning of the years. He expects the annual interest rate of 8 percent over the next two decades. How much money should he deposit in the bank each year for the next 15 years (assume that the deposit is made at the end of the year) to take care of his son's college education expenses?

The time line for this problem is as follows:



The present value of college education expenses when his son becomes 15 years old is:

Rs. 1,000,000 x PVIFA (4 years, 8%)

= Rs. 1,000,000 x 3.312

= Rs. 3,312,000

The annual deposit to be made so that the future value of the deposits at the end of 15 years is Rs.3,312,000 is:

$$A = \frac{\text{Rs. } 3{,}312{,}000}{\text{FVIFA(15 years, 8\%)}} = \frac{\text{Rs. } 3{,}312{,}000}{27.152}$$

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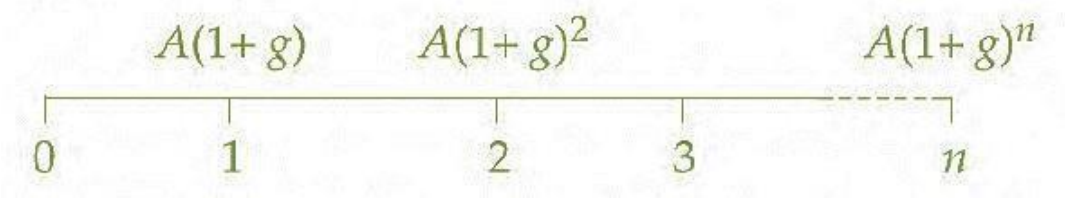
= Rs. 121,980

Present Value of a Growing Annuity

A cash flow that grows at a constant rate for a specified period of time is a growing annuity.

The time line of a growing annuity is shown below:



The present value of a growing annuity can be determined using the following formula:

$$\text{PV of a Growing Annuity} = A\,(1+g)\left[\frac{1-\dfrac{(1+g)^n}{(1+r)^n}}{r-g}\right]$$

The above formula can be used when the growth rate is less than the discount rate (g < r) as well as when the growth rate is more than the discount rate (g > r). However, it does not work when the growth rate is equal to the discount rate (g = r) - in this case, the present value is simply equal to n A.

Case

For example, suppose you have the right to harvest a teak plantation for the next 20 years over which you expect to get 100,000 cubic feet of teak per year. The current price per cubic feet of teak is Rs.500, but it is expected to increase at a rate of 8 percent per year. The discount rate is 15 percent. The present value of the teak that you can harvest from the teak forest can be determined as follows:

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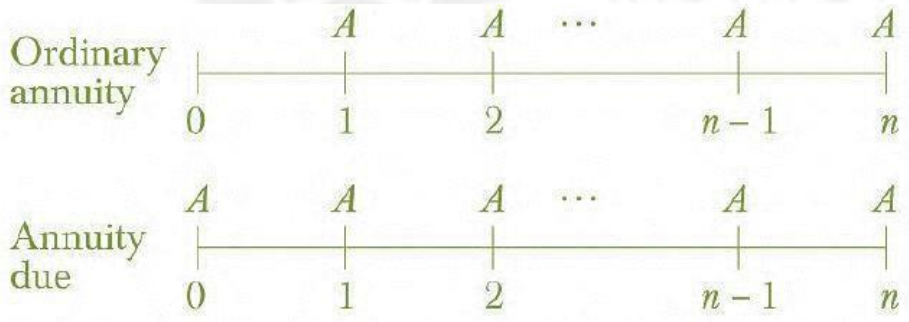
$$\text{PV of teak} = \text{Rs.}500 \times 100{,}000\ (1.08)\left[\frac{1-\frac{1.08^{20}}{1.15^{20}}}{0.15-0.08}\right]$$

$$= \text{Rs.}551{,}736{,}683$$

A Note on Annuities Due

So far we discussed ordinary annuities in which cash flows occur at the end of each period. There is a variation, which is fairly common, in which cash flows occur at the beginning of each period. Such an annuity is called an annuity due. For example, when you enter into a lease for an apartment, the lease payments are due at the beginning of the month. The first lease payment is made at the beginning; the second lease payment is due at the beginning of the second month, so on and so forth. The time lines for ordinary annuity and annuity due are shown below:



Since the cash flows of an annuity due occur one period earlier in comparison to the cash flows on an ordinary annuity, the following relationship holds:

Annuity due value = Ordinary annuity value x (1 + r)

This applies for both present and future values. So, two steps are involved in calculating the value of an annuity due. First, calculate the present or future value as though it were an ordinary annuity. Second, multiply your answer by (1 + r).

Compounding more than once a year

So far we assumed that compounding is done annually. Now we consider the case where compounding is done more frequently.

Case

Suppose you deposit Rs 1,000 with a finance company which advertises that it pays 12 percent interest semi-annually-this means that the interest is paid every six months. Your deposit (if interest is not withdrawn) grows as follows:

First six months	: Principal at the beginning	= Rs. 1,000.0
	Interest for 6 months	= Rs. 60.0
	$\text{Rs } 1{,}000 \times \frac{0.12}{2}$	
	Principal at the end	= Rs. 1,060.0
Second six months	: Principal at the beginning	= Rs. 1,060.0
	Interest for 6 months	= Rs. 63.6
	$\text{Rs.}1{,}060 \times \frac{0.12}{2}$	
	Principal at the end	= Rs. 1,123.6

Note that if compounding is done annually, the principal at the end of one year would be Rs.1,000 (1.12) = Rs.1,120. The difference of Rs.3.6 (between Rs.1,123.6 under semi-annual compounding and Rs.1,120 under annual compounding) represents interest on interest for the second half year.

The general formula for the future value of a single cash flow after n years when compounding is done m times a year is:

$$FV_n = PV\left[1+\frac{r}{m}\right]^{m\times n}$$

Case

Suppose you deposit Rs.5,000 in a bank for 6 years. If the interest rate is 12 percent and the frequency of compounding is 4 times a year your deposit after 6 years will be:

$$\text{Rs.5,000}\left[1+\frac{0.12}{4}\right]^{4\times 6} = \text{Rs.5,000}\,(1.03)^{24}$$

$$= \text{Rs.5,000} \times 2.0328 = \text{Rs.10,164}$$

Effective versus Stated Rate

We have seen above that Rs. 1,000 grows to Rs. 1,123.6 at the end of a year if the stated rate of interest is 12 percent and compounding is done semi-annually. This means that Rs.1,000 grows at the rate of 12.36 percent per annum. The figure of 12.36 percent is called the effective interest rate - the rate of interest under annual compounding which produces the same result as that produced by an interest rate of 12 percent under semi-annual compounding.

The general relationship between the effective interest rate and the stated annual interest rate is as follows:

$$\text{Effective interest rate} = \left[1+\frac{\text{Stated annual interest rate}}{m}\right]^{m} - 1$$

where m is the frequency of compounding per year. Suppose a bank offers 12 percent stated annual interest rate. What will be the effective interest rate when compounding is done annually, semi-annually, and quarterly?

$$\text{Effective interest rate with annual compounding} = \left[1+\frac{0.12}{1}\right]^{1} - 1 = 0.12$$

$$\text{Effective interest rate with semi-annual compounding} = \left[1+\frac{0.12}{2}\right]^{2} - 1 = 0.1236$$

$$\text{Effective interest rate with quarterly compounding} = \left[1+\frac{0.12}{4}\right]^{4} - 1 = 0.1255$$

When compounding becomes continuous, the effective interest rate is expressed as follows:

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Effective interest rate = e^r -1

where e is the base of natural logarithm and r is the stated interest rate.

Exhibit below, shows how compounding frequency impacts on the effective interest rate.

From this exhibit is clear that the effect of increasing the frequency of compounding is not as dramatic as some would believe it to be - the additional gains dwindle as the frequency of compounding increases.

Compounding Frequency and Effective Interest Rate

Frequency	*Stated Interest Rate (%)*	*m*	*Formula*	*Effective Interest Rate (%)*
Annual	12	1	0.12	12.00
Semi-annual	12	2	$\left[1+\frac{0.12}{2}\right]^2-1$	12.36
Quarterly	12	4	$\left[1+\frac{0.12}{4}\right]^4-1$	12.55
Monthly	12	12	$\left[1+\frac{0.12}{12}\right]^{12}-1$	12.68
Weekly	12	52	$\left[1+\frac{0.12}{52}\right]^{52}-1$	12.73
Daily	12	365	$\left[1+\frac{0.12}{365}\right]^{365}-1$	12.75
Continuous	12		$e^{0.12}-1$	12.75

9. Assignments (For higher level learning and Evaluation - Examples: Case study, Comprehensive design, etc.,)

S. No.	Questions	K Level	CO Level
1	Considering practical example, solve 2 problems in the topics Simple and Compound Interest Rates, Consider practical scenario of your choice.	K3	CO1
2	Interpret 2 problems Future value of single amount and present value of single amount	K3	CO1

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Part A

Sl. No	Questions and Answer	CO	K Level
1	**Define finance.** Finance can be defined as the management of the flows of money through an organization, whether it will be a corporation, school, bank or government agency.	CO1	K1
2	**Mention the types of Finance.** • Business Finance • Direct Finance • Indirect Finance • Public Finance • Private Finance • Corporation Finance	CO1	K1
3	**Mention the major Role of the Financial Manager** • Determine the total amount of funds to be employed by a firm • Allocate these funds efficiently to various assets • Obtain the best mix of financing in relation to the overall evaluation of the firm.	CO1	K1
4	**Define Financial Management** According to Weston and Brigham, ` Financial management is an area of financial decision making, harmonizing individual motives and enterprise goals'	CO1	K1
5	**Mention the Dimensions of Financial Management** • Anticipating Financial Needs • Acquiring Financial Resources • Allocating Funds in Business • Administering the Allocation of Funds • Analysing the performance of finance • Accounting and Reporting to Management	CO1	K2

Part A

Sl. No	Questions and Answer	CO	K Level
6	**Classify the types of Financial Decisions.** 1.Investment decisions 2.Financing decision. 3.Dividend decisions. 4.Liquidity decisions.	CO1	K1
7	**What is wealth Maximisation?** Wealth Maximisation refers to all the efforts put in for maximizing the net present value (i.e. wealth) of any particular course of action which is just the difference between the gross present value of its benefits and the amount of investment required to achieve such benefits	CO1	K1
8	**What is Time value of Money?** Time value of money means that a sum of money is worth more now than the same sum of money in the future. This is because money can grow only through investing. An investment delayed is an opportunity lost.	CO1	K1
9	**What do you meant by Annuity?** An annuity is a contract between you and a company in which you make a lump-sum payment or series of payments and, in return, receive regular disbursements, beginning either immediately or at some point in the future.	CO1	K1
10	**What do you meant by Amortization?** Amortization is an accounting technique used to periodically lower the book value of a loan or an intangible asset over a set period of time. In relation to a loan, amortization focuses on spreading out loan payments over time.	CO1	K1

Sl. No	Part B - Questions	K Level
1	What is financial management? Explain its significance.	K2
2	It is often said that financial activities hinge on the money management. Do you agree with this point of view?	K2
3	Bring out the importance of finance.	K2
4	How can you classify finance? How is finance related to other disciplines?	K2
5	Explain the objectives & significance of finance function.	K2
6	What is finance function? Explain the scope of finance function.	K2
7	Explain the role of financial manager in the current scenario.	K2
8	Analyse the nature of financial management. Explain the key areas of financial Management	K2
9	Explain the scope and goals of financial management.	K2
10	Give the arguments for profit maximization as an objective of a firm.	K2
11	Discuss the types and significance of various financial decisions.	K2
12	Explain the goals of the Financial Firm.	K2
13	Explain the Purpose & functions of Financial markets	K2
14	Explain the present value and future value of a single payment with examples.	K2
15	Explain the Simple interest and Compound Interest with example	K2
16	Explain the Future value of an Annuity with example.	K2
17	Explain the Present value of an Annuity with example.	K2
18	Explain Amortisation with example	K2
19	Explain the 'Compounding more than once a year' with example.	K2

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12. Supportive online Certification courses (NPTEL, Swayam, Coursera, Udemy, etc.,)

S.No	Name of the Course	Link
1	Financial Management for Managers	https://nptel.ac.in/courses/110/107/110107144/
2	Finance for Non-Finance Professionals	https://www.coursera.org/learn/finance-for-non-finance
3	Introduction to Finance: The Basics	https://www.coursera.org/learn/introduction-to-finance-the-basics
4	Financial Management	https://www.coursera.org/specializations/financial-management
5	Foundations of Finance	https://www.edx.org/course/foundations-of-finance
6	Finance Essentials	https://www.edx.org/course/finance-essentials
7	Foundations of Finance	https://www.edx.org/course/foundations-of-finance
8	Portfolio Management, Governance, & the PMO	https://www.edx.org/course/portfolio-management-governance-the-pmo
9	Financial Planning for Young Adults	https://www.coursera.org/learn/financial-planning

13. Real time Applications in day to day life and to Industry

Power of Compounding

The power of compounding is often illustrated with the sale of Manhattan Island in 1626. It was sold by Red Indians to Peter Minuit for $24. Looking at the New York real estate prices today, it appears that Peter Minuit got a real bargain. But consider the future value of $24 in 2010 if Red Indians had invested for 384 years (2010 minus 1626) at an interest rate of 8 percent per year:

$ 24 X (1.08)384 = $ 164,033,800,000,000

= $ 164 trillion

The total value of land on Manhattan in 2010 may perhaps have not more than $ 500 billion.

So the deal was not really a bargain.

Although interesting, this comparison is misleading. First, judged by historical standards, the 8 percent rate is much higher.

If we use a 3.5 percent rate, which is more consistent with historical experience, the future value of $ 24 would be just $24 X (1.035)384 = $ 13,10 1,034.

Second, we ignored the rental income to Peter Minuit and his successors' over the last 384 years. Considering everything, Peter Minuit got a real good deal.

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14. Contents beyond the Syllabus

Evolution of Financial Management

Finance, as capital, was part of the economics discipline for a long time. So, financial management until the beginning of the 20th century was not considered as a separate entity and was very much a part of economics. In the 1920s, liquidity management and raising of capital assumed importance. The book, `FINANCIAL POLICY OF CORPORATIONS' written by Arthur Stone Dewing in 1920 was a scholarly text on financing and liquidity management, i.e., cash management and raising of capital in 1920s.

In the 1930s there was the Great Depression, i.e., all round price declines, business failures and declining business. This forced the business to be extremely concerned with solvency, survival, reorganisation and so on. Financial Management emphasized on solvency management and on debt-equity proportions besides that the external control on businesses became more pronounced.

Till early 1950s financial management was concerned with maintaining the financial chastity of the business. Conservatism, investor/lendor related protective covenants/information processing, issue management, etc. were the prime concerns. It was an outsider- looking-in function.

From the middle of 1950s financial management turned into an insider-looking-in function. That is, the emphasis shifted to utilisation of funds from funds. So, choice of investment, capital investment appraisals, etc., is assumed importance. Objective criteria for commitment of funds in individual assets were evolved. Towards the close of the 1950s Modigliani and Miller even argued that sources of capital were irrelevant and only the investment decisions were relevant. Such was the total turn in the emphasis of financial management.

In the 1960s portfolio management of assets gained importance. In the selection of investment opportunities portfolio approach was adopted, certain combinations of assets give more overall return given the risk or give a certain return for a reduced risk. So, selection of such combination of investments gained eminence.

In the 1970s the capital asset pricing model (CAPM), arbitrage pricing model (APM), option pricing model (OPM), etc., were developed- all concerned with how to choose financial assets. In the 1980s further advances in financial management were found. Conjunction of personal taxation with corporate taxation, financial signaling, efficient market hypothesis, etc., was some newer dimensions of corporate financial decision paradigm. Further Merger and Acquisition (M&A) became an important corporate strategy.

The 1960's saw the era of financial globalization. Educational globalization is the order of the day. Capital moved west to east, north to South and so on. So, global financial management,

global investment management, foreign exchange risk management, etc.,

become more important topics.

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In late 1990s and 2000s, corporate governance got preeminence and financial disclosure and related norms are being great concerns of financial management. The dawn of 21st Century is heralding a new era of financial management with cyber support. The developments till mid 1950s are branded as classical financial management. This dealt with cash management, cash flow management, raising capital, debt-equity norms, issue management, solvency management and the like. The developments since mid - 1950s and upto 1980s, are branded as modern financial management. The emphasis is on asset management, portfolio approach, capital asset pricing model, financial signaling, and efficient market hypothesis and so on. The developments since the 1990s may be called post modern financial management with great degree of global financial integration net supported finances and so on.

Financial Management as Science or Art

Financial management is both a science and an art. Its nature is nearer to applied sciences as it envisages use of classified and tested knowledge as a help in practical affairs and solving business.

Theory of financial management is based on certain systematic principles, some of which can be tested in mathematical equations like the law of physics and chemistry. Financial management contains a much larger body of rules or tendencies that hold true in general and on the average.

The use of computers, operations research, statistical techniques and econometric models find wide application in financial management as tools for solving corporate financial problems like budgeting, choice of investments, acquisition or mergers etc. This takes the financial management nearer to treatment as a subject of science.

Most practical problems of finance have no hard and fast answers that can be worked out mathematically or programmed on a computer. They must be solved by judgment, intuition and the "feel" of experience. Thus, despite its frequent acceptance as an applied science, finance remains largely an art. Because, according to George A. Christy and Feyton Foster Roden (Finance: Environment and Decisions) knowledge of facts, principles and concepts is necessary for making decisions but personal involvement of the manager through his intuitive capacities and power of judgment becomes essential.

As the application of human judgement and skills is also required for effective financial management, financial management is also an art.

In the entire study of financial management whether it is related to investment decisions, financing decisions i.e. deciding about the sources of financing, or dividend decisions, there is a mixture of science as well as art. When techniques for analytical purposes are used, it is science and when choice is application of the results it is an art.

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TEXT BOOKS:

1. Chandra, Prasanna - Financial Management - Theory & Practice, Tata McGraw Hill, 2007.

2. Srivastava, Misra: Financial Management, OUP, 2011

REFERENCES BOOKS :

1. Van Horne and Wachowicz : Fundamentals of Financial Management, Prentice Hall/ Pearson Education.

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17. MINI PROJECT SUGGESTIONS

- Articulate the Financial Management by considering any one Business firm /Product as an example. Analyze their cashflows, Capital etc

- Interpret two problems in Compounding more than once a year and Annuity Factor , By considering example on your choice

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Thank you

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